CB Business Updates

20 May 2024

Agenda

1. **CN Seller Projection**
2. LFF Landscape and UE Study
3. Counter Taobao
4. SIP
5. US Tariff Impact Update
6. SLS NSB Business Plan

CN Seller Universe is currently at 4.9m ADO, +18% YoY; ADO% to platform at 17%, -3pp YoY as SLS declined; Key growth drivers are LFF and Local CNLS

Table: CN Seller Universe ADO performance

CN Seller Universe			Total					
Metric	Seller Type	BUs	Apr'24	Jan'25	Feb'25	Mar'25	Apr '25	YoY
ADO#	Platform[1]	Total	**20,961,951**	**27,934,151**	**29,255,466**	**32,132,845**	**28,661,660**	37%
ADO#	CB	SLS	1,633,762	1,724,446	1,555,558	1,547,748	1,434,586	-12%
		LFF	263,036	527,157	520,749	568,501	581,604	121%
		Choice	175,589	256,848	260,951	246,261	201,052	15%
	Local	CNLS	2,100,399	2,529,850	2,474,293	2,796,348	2,726,602	30%
	Total		**4,172,786**	**5,038,301**	**4,811,551**	**5,158,858**	1 **4,943,844**	18%
ADO% of Platform	CB	SLS	8%	6%	5%	5%	5%	-3pp
		LFF	1%	2%	2%	2%	2%	1pp
		Choice	1%	1%	1%	1%	1%	0pp
	Local	CNLS	10%	9%	8%	9%	10%	-1pp
	Total		**20%**	**18%**	**16%**	**16%**	1 **17%**	-3pp
ADO % of CN Seller universe	CB	SLS	39%	34%	32%	30%	29%	-10pp
		LFF	6%	10%	11%	11%	2 12%	5pp
		Choice	4%	5%	5%	5%	4%	0pp
	Local	CNLS	50%	50%	51%	54%	2 55%	5pp
	Total		**100%**	100%	100%	100%	100%	/

Platform defined by SEA+TW (excl. LATAM) markets

Key Highlights

1. **CN Seller Universe ADO** at 4.9M, (+18% YoY); ADO% to platform at 17%
   a. **SLS YoY** decline mainly due to VN sites decline (VN site contri 35% of ttl sls ado with 60% of ttl sls ado loss) influenced by CB Tax issue effective in Feb
   b. **LFF** +121% YoY mainly due to 1) upgrade incentives 2)stronger seller push and 3) more competitive rate card
   c. **CNLS** +30% YoY due to 1) enhanced seller programs and 2) tailored seller management; market-wise ID/TH contributed most growths (ID/TH contributed ~54% of ttl CNLS ADO with ~87% of ttl ADO growth)
   d. **Choice** Jan'25 to Apr'25 decline due to 1) cost improvement initiatives 2) price adjustment.
2. **LFF and CNLS** contribute to more than 67% of CN Seller ADO% in Apr 25. An improvement of +7 p.p. since Jan 25.

Over the next 3 years, we expect the Universe to evolve in the same trend, with increasing local fulfilment penetration; UE will also improve due to FBS optimization and CNLS growth

CN Seller Universe			Actual	Projected			
Metric	Seller Type	BUs	Dec '24	Dec '25	Dec '26	Dec '27	Dec '28
Order #	Platform	Total	30,377,117	35,667,724	42,342,753	48,682,924	55,444,184
ADO#	CNCB	CNCB Total	2,777,853	2,879,906	3,472,821	3,999,442	4,561,722
		…SLS	1,954,007	1,879,676	2,222,225	2,518,661	1 2,836,375
		…LFF	557,127	755,009	957,431	1,147,861	1,349,203
		……FBS	108,937	217,745	365,389	508,978	671,145
		……3PF	448,190	537,264	592,042	638,884	678,057
		…Choice	266,719	245,221	293,165	332,920	376,144
	Local	CNLS	2,971,217	3,578,452	4,357,873	5,090,522	5,874,153
		...Type 1	1,314,601	1,846,370	2,345,614	2,852,051	3,392,707
		...Type 2	1,427,633	1,477,213	1,694,283	1,862,374	2,034,895
		...Type 3	228,983	254,869	317,976	376,097	446,551
	CN Seller Universe Total		**5,749,070**	**6,458,358**	**7,830,694**	**9,089,964**	**10,435,875**
ADO% to platform	CNCB	CNCB Total	**8.9%**	**8.1%**	**8.2%**	**8.2%**	**8.2%**
		…SLS	6.4%	5.3%	5.2%	5.2%	5.1%
		…LFF	1.6%	2.1%	2.3%	2.4%	2 2.4%
		……FBS	0.0%	0.6%	0.9%	1.0%	1.2%
		……3PF	1.6%	1.5%	1.4%	1.3%	1.2%
		…Choice	0.9%	0.7%	0.7%	0.7%	0.7%
	Local	CNLS	9.8%	10.0%	10.3%	10.5%	3 10.6%
		...Type 1	4.3%	5.2%	5.5%	5.9%	6.1%
		...Type 2	4.7%	4.1%	4.0%	3.8%	3.7%
		...Type 3	0.8%	0.7%	0.8%	0.8%	0.8%
	CN Seller Universe Total		**18.9%**	**18.1%**	**18.5%**	**18.7%**	**18.8%**
UE (USD)	CNCB	CNCB Total	**0.33**	**0.43**	**0.42**	**0.42**	**0.45**
		…SLS	1 0.51	0.72	0.72	0.73	0.74
		…LFF	0.32	0.43	0.39	0.40	2 0.48
		……FBS	0.31	0.05	0.07	0.18	0.37
		……3PF	0.36	0.59	0.59	0.58	0.58
		…Choice	-1.00	0.00	0.00	0.00	0.00
	Local	CNLS	-0.06	0.16	0.18	0.21	3 0.24
	CN Seller Universe Total		0.07	0.22	0.26	0.32	0.40

Key Highlights

CN seller universe expect to grow 61% from Dec'25 to Dec'28; UE improve from $0.07 to $0.4

1. SLS - *Moderate growth, slower vs platform*

- **ADO:** Expect CB to grow to 2.8m ADO by Dec 28; Decline in Dec '25 vs Dec'24 driven by commission hikes and initial conversion to LFF; but expect to normalize and return to growth on par with platform moving forward
- **UE:** Improved in Dec '25 due to commission hikes; lowered VN order mix due to platform direction; SLS PPO improvements; Expect to hold steady to '28

2. LFF - *Faster growth vs platform driven by FBS, improving UE*

- **ADO:** Expect CB LFF % to platform to grow to 2.4% and ~32% of total CB ADO; FBS share will grow from current **3.9%** of CB to **15%** driven by new SKU acquisition
- **UE:** Gradually improve due to FBS 1) normalizing investment, 2) improvements in WH PnL from lowered CPI/higher RPI, 3) increasing commission

3. CNLS - *Faster growth vs platform driven by Type 1, improving UE*

- **ADO:** CNLS will see penetration grow from 9.8% in Dec '24 to 10.6% in Dec '28; mostly driven by Type 1 sellers from incentives to facilitate seller growth/expansion across sites
- **UE:** Expected to improve benchmarking Local seller PC2 projection

Backup by Markets

[Backup] SG - CN Seller Universe

CN Seller Universe			SG				
			Actuals	Projected			
Metric	Seller Type	BUs	Dec '24	Dec '25	Dec '26	Dec '27	Dec '28
ADO#	**Platform**	**Total**	**343,578**	**391,072**	**427,509**	**452,270**	**478,401**
ADO#	CB	CB Total	125,469	136,963	155,926	170,617	185,171
		SLS	94,034	98,594	106,156	110,236	114,808
		LFF	19,011	25,272	35,452	45,234	54,341
		...FBS	5,817	10,195	19,471	28,487	36,952
		...3PF	13,194	15,077	15,981	16,747	17,390
		Choice	12,424	13,097	14,318	15,147	16,022
	Local	CNLS	3,811	5,275	6,519	7,298	8,160
	CN Seller Universe Total		**129,280**	**142,238**	**162,445**	**177,915**	**193,331**
ADO% over Platform	CB	CB Total	37%	35%	36%	38%	39%
		SLS	27%	25%	25%	24%	24%
		LFF	6%	6%	8%	10%	11%
		...FBS	2%	3%	5%	6%	8%
		...3PF	4%	4%	4%	4%	4%
		Choice	4%	3%	3%	3%	3%
	Local	CNLS	1%	1%	2%	2%	2%
	CN Seller Universe Total		**37.6%**	**36.4%**	**38.0%**	**39.3%**	**40.4%**
UE (USD)	CB	SLS	1.63	1.92	1.94	1.94	1.94
		LFF	2.16	2.66	2.19	2.13	2.21
		...FBS	1.25	0.52	0.62	0.97	1.32
		...3PF	2.90	4.11	4.11	4.11	4.11
		Choice	-0.54	0.82	0.82	0.82	0.82
	Local	CNLS	1.69	2.09	2.13	2.12	2.12
	CN Seller Universe Total		1.50	1.96	1.90	1.90	1.93

[Backup] MY - CN Seller Universe

CN Seller Universe			MY				
			Actuals	Projected			
Metric	Seller Type	BUs	Dec '24	Dec '25	Dec '26	Dec '27	Dec '28
ADO#	**Platform**	**Total**	**1,809,255**	**1,919,591**	**2,396,163**	**2,607,540**	**2,834,207**
ADO#	CB	CB Total	380,842	391,890	486,626	531,172	578,744
		SLS	242,988	227,713	279,004	296,401	318,619
		LFF	93,337	129,327	164,119	187,431	208,670
		...FBS	24,472	36,923	60,660	76,546	93,009
		...3PF	68,865	92,404	103,459	110,885	115,661
		Choice	44,517	34,850	43,503	47,340	51,455
	Local	CNLS	140,296	159,459	200,770	229,392	263,442
	CN Seller Universe Total		**521,138**	**551,349**	**687,396**	**760,564**	**842,186**
ADO% over Platform	CB	CB Total	21%	20%	20%	20%	20%
		SLS	13%	12%	12%	11%	11%
		LFF	5%	7%	7%	7%	7%
		...FBS	1%	2%	3%	3%	3%
		...3PF	4%	5%	4%	4%	4%
		Choice	2%	2%	2%	2%	2%
	Local	CNLS	8%	8%	8%	9%	9%
	CN Seller Universe Total		**28.8%**	**28.7%**	**28.7%**	**29.2%**	**29.7%**
UE (USD)	CB	SLS	0.95	1.03	1.09	1.14	1.20
		LFF	0.44	0.75	0.67	0.69	0.72
		...FBS	0.22	0.02	0.03	0.18	0.32
		...3PF	0.59	1.04	1.04	1.04	1.04
		Choice	-1.43	0.00	0.00	0.00	0.00
	Local	CNLS	-0.01	-0.07	0.00	0.06	0.13
	CN Seller Universe Total		0.40	0.58	0.60	0.63	0.67

[Backup] TH - CN Seller Universe

CN Seller Universe			TH				
			Actuals	Projected			
Metric	Seller Type	BUs	Dec '24	Dec '25	Dec '26	Dec '27	Dec '28
ADO#	**Platform**	**Total**	**3,065,720**	**3,351,755**	**4,008,298**	**4,414,187**	**4,713,624**
ADO#	CB	CB Total	442,867	480,536	558,582	620,255	656,428
		SLS	279,147	257,691	303,671	334,692	351,810
		LFF	108,938	179,145	202,651	228,011	243,162
		...FBS	15,386	46,692	49,442	59,908	66,888
		...3PF	93,552	132,453	153,209	168,103	176,274
		Choice	54,782	43,700	52,260	57,552	61,456
	Local	CNLS	601,464	578,606	791,104	931,384	1,035,919
	CN Seller Universe Total		**1,044,331**	**1,059,142**	**1,349,686**	**1,551,639**	**1,692,347**
ADO% over Platform	CB	CB Total	14%	14%	14%	14%	14%
		SLS	9%	8%	8%	8%	7%
		LFF	4%	5%	5%	5%	5%
		...FBS	1%	1%	1%	1%	1%
		...3PF	3%	4%	4%	4%	4%
		Choice	2%	1%	1%	1%	1%
	Local	CNLS	20%	17%	20%	21%	22%
	CN Seller Universe Total		**34.1%**	**31.6%**	**33.7%**	**35.2%**	**35.9%**
UE (USD)	CB	SLS	0.27	0.39	0.39	0.40	0.44
		LFF	0.01	0.22	0.22	0.23	0.32
		...FBS	-0.20	-0.08	-0.08	-0.01	0.31
		...3PF	-0.03	0.32	0.32	0.32	0.32
		Choice	-1.04	0.00	0.00	0.00	0.00
	Local	CNLS	-0.02	-0.16	-0.16	-0.14	-0.09
	CN Seller Universe Total		0.01	0.04	0.03	0.04	0.08

[Backup] VN - CN Seller Universe

CN Seller Universe			VN				
			Actuals	Projected			
Metric	Seller Type	BUs	Dec '24	Dec '25	Dec '26	Dec '27	Dec '28
ADO#	**Platform**	**Total**	**4,548,179**	**5,234,489**	**6,826,172**	**8,190,090**	**9,827,286**
ADO#	CB	CB Total	855,261	703,345	899,789	1,081,116	1,291,812
		SLS	740,839	616,556	770,457	909,404	1,071,086
		LFF	47,710	45,211	75,111	106,658	142,668
		...FBS	20,286	31,858	59,931	89,402	123,050
		...3PF	27,424	13,353	15,180	17,257	19,618
		Choice	66,712	41,578	54,221	65,054	78,058
	Local	CNLS	64,401	111,442	160,778	210,640	276,634
	CN Seller Universe Total		**919,662**	**814,787**	**1,060,567**	**1,291,756**	**1,568,446**
ADO% over Platform	CB	CB Total	19%	13%	13%	13%	13%
		SLS	16%	12%	11%	11%	11%
		LFF	1%	1%	1%	1%	1%
		...FBS	0%	1%	1%	1%	1%
		...3PF	1%	0%	0%	0%	0%
		Choice	1%	1%	1%	1%	1%
	Local	CNLS	1%	2%	2%	3%	3%
	CN Seller Universe Total		**20.2%**	**15.6%**	**15.5%**	**15.8%**	**16.0%**
UE (USD)	CB	SLS	0.08	0.35	0.38	0.40	0.42
		LFF	0.32	0.44	0.40	0.41	0.44
		...FBS	0.31	0.30	0.30	0.34	0.38
		...3PF	0.92	0.79	0.79	0.79	0.79
		Choice	-0.60	0.00	0.00	0.00	0.00
	Local	CNLS	0.21	0.49	0.54	0.57	0.61
	CN Seller Universe Total		0.05	0.36	0.39	0.41	0.43

[Backup] PH - CN Seller Universe

CN Seller Universe			PH				
			Actuals	Projected			
Metric	Seller Type	BUs	Dec '24	Dec '25	Dec '26	Dec '27	Dec '28
ADO#	**Platform**	**Total**	**4,369,959**	**5,341,926**	**6,162,117**	**7,086,435**	**8,127,133**
ADO#	CB	CB Total	916,378	1,105,923	1,304,769	1,528,526	1,780,397
		SLS	541,991	621,028	699,117	803,612	914,444
		LFF	288,131	376,053	480,098	580,527	700,362
		...FBS	42,976	92,076	175,885	254,635	351,247
		...3PF	245,155	283,977	304,213	325,892	349,115
		Choice	86,256	108,842	125,554	144,387	165,591
	Local	CNLS	1,341,858	1,485,890	1,654,533	1,824,565	2,035,533
	CN Seller Universe Total		**2,258,236**	**2,591,813**	**2,959,302**	**3,353,091**	**3,815,930**
ADO% over Platform	CB	CB Total	21%	21%	21%	22%	22%
		SLS	12%	12%	11%	11%	11%
		LFF	7%	7%	8%	8%	9%
		...FBS	1%	2%	3%	4%	4%
		...3PF	6%	5%	5%	5%	4%
		Choice	2%	2%	2%	2%	2%
	Local	CNLS	31%	28%	27%	26%	25%
	CN Seller Universe Total		**51.7%**	**48.5%**	**48.0%**	**47.3%**	**47.0%**
UE (USD)	CB	SLS	0.58	0.71	0.74	0.77	0.79
		LFF	0.28	0.27	0.23	0.24	0.33
		...FBS	0.38	-0.02	-0.01	0.08	0.30
		...3PF	0.25	0.37	0.37	0.37	0.37
		Choice	-1.12	0.00	0.00	0.00	0.00
	Local	CNLS	0.13	0.24	0.27	0.29	0.31
	CN Seller Universe Total		0.21	0.35	0.36	0.38	0.42

[Backup] ID - CN Seller Universe

CN Seller Universe			ID				
			Actuals	Projected			
Metric	Seller Type	BUs	Dec '24	Dec '25	Dec '26	Dec '27	Dec '28
ADO#	**Platform**	**Total**	**14,859,124**	**17,922,343**	**20,941,740**	**24,289,145**	**27,762,130**
ADO#	Local	CNLS	819,387	1,237,780	1,544,169	1,887,243	2,254,465
		...Type 1	669,911	1,074,326	1,337,018	1,641,968	1,968,801
		...Type 2	31,717	35,652	39,346	42,418	45,392
		...Type 3	117,759	127,802	167,805	202,857	240,272
	CN Seller Universe Total		**819,387**	**1,237,780**	**1,544,169**	**1,887,243**	**2,254,465**
ADO% over Platform	Local	CNLS	6%	7%	7%	8%	8%
		...Type 1	5%	6%	6%	7%	7%
		...Type 2	0%	0%	0%	0%	0%
		...Type 3	1%	1%	1%	1%	1%
	CN Seller Universe Total		**5.5%**	**6.9%**	**7.4%**	**7.8%**	**8.1%**
UE (USD)	Local	CNLS	-0.33	0.20	0.23	0.27	0.29
		...Type 1	-0.21	0.23	0.26	0.30	0.32
		...Type 2	-0.24	0.17	0.20	0.24	0.26
		...Type 3	-1.02	0.15	0.18	0.22	0.24
	CN Seller Universe Total		-0.33	0.20	0.23	0.27	0.29

Agenda

1. CN Seller Overview
2. **LFF Landscape and UE Study**
3. Counter TB
4. SIP
5. US Tariff Impact Update
6. SLS NSB Business Plan

Executive Summary

Fulfilment WH business end state scenario is characterized by US and CN markets today; US sees Amazon dominate and is more short-tail focused, high ABS driven, and highly regulated, while CN does not have a dominating player and is more fragmented, low ABS driven and loosely regulated

Market Conduciveness

SEA landscape straddles in between both end game scenario, but ultimately more akin to CN landscape, in that it is

- Moderately short tailed (less so in SG/MY) and low ABS driven
- Loosely regulated labour force in some markets (VN/TH/PH)
- Fragmented WH providers in some markets (MY/TH/PH)

Shopee generally also has higher cost vs 3PF due to staffing cost which is difficult to overcome in the long run due to unregulated labour market

We believe SG, MY and PH to be most conducive for Fulfilment WH business due to 1) FBS being the largest provider and has biggest potential to win through economies of scale, 2) low regulatory constraints which allows sellers to easily to business with FBS, 3) has a high concentration of short tail SKUS (PH only)

LFF UE Assessment

Reviewing SLS SKUs that have been converted to LFF, we observe UE is profitable in all markets, however FBS is not in some markets due to lower commission and less SLS revenue. Additionally, within LFF, FBS is worse off vs 3PF because of

- Lower commission rate / Higher PRM investment / Current negative WH PnL

In the end state, we would expect

- **Increase of 3PF commission rate** to benchmark SLS rates
- LFF orders to eventually **converge towards local orders**, and will be subjected **normalized commission rate and PRM structure** as local
- **WH PnL to be profitable due to lowered CPI and improved rate card,** and start to contribute positively to UE
- Total profitability will also improve as there is **order uplift** as SKUs switch from SLS to LFF

When these conditions are achieved, LFF orders UE will be better off vs current state across markets but still be less profitable vs SLS due to the revenue loss, except for SG where WH PnL expects will see aggressive CPI improvements

There exists **further levers to improve FBS UE**, which markets should consider as we work towards improve FBS UE in the long run

- Launching SLS sea shipping channel in July 2025 to gain share from Unmanaged shipping 3PLs to improve Logs PnL,
- Improvement of conversion through combined checkout feature
- Further improvement WH PnL through automation / CPI optimization / rate card increases

In Summary

- For MY/SG, we propose to continue to push FBS business but to do so with plan to improve WH profitability in the long run to offset revenue loss from SLS
- For PH, we propose to continue to push FBS but with greater focus on selecting higher ABS SKUs with better UE, as PHCB is very reliant on SLS as revenue generator
- For TH, we propose to assess further investments as market is heavily regulated and we do not have clear competitive advantage over 3PFs who operate via grey channels and have lower costs; we may continue to push if we think we are able to overcome regulatory restrictions

[US and CN FBx landscape] If we reference US and CN as mature mkts for WH fulfilment biz, we observe two growth paths differentiated by 1) Demand & supply structure 2) 3PF alternatives in the market

e-Comm end game & key drivers		US	CN
FBx model landscape	Official WH ADG pp%	36%[1)] Key player: AMZ FBA - 90% of AMZ US	11%[1)] Key player: JD WH & logistics - 72% of JD CN
	Competitive edge	**FBA dominant**	**Limited share**
		AMZ vs. eBay: **AMZ wins** through the E2E FBA model & Prime program, taking **40%** of total US market share	The demand exists but **has limited share**. BABA and PDD direct shipping model dominants **while JD takes 18% of CN market share**
Demand & supply structure	Market type	**Short tail**	**Long tail**
	User profile	Mid-to-high end ABS: $40[1)]	Low-to-mid end ABS: $13[1)]
	Product mix	Dominated by **branded items** **Branded item ADG pp%: ~80%**[1)]	Dominated by **white-label items** **Branded item ADG pp%: ~30%**[1)]
3PF[2)] alternatives	3PF landscape	**Concentrated**, due to: 1) Regulatory restriction on nationwide log services 2) High compliance cost (tax, ESG, labor unions)	**Fragmented**, due to: 1) Low compliance cost 2) Sellers' high preference of lower fulfillment cost
		Fulfilment service(WH+LM) **CR3 (UPS, FedEx, DHL): ~50%**[1)]	Fulfilment service(WH+LM) **CR10: ~12%**[1)]
	Service	Slow delivery + standard WH services	Customizable to e-commerce needs
	Pricing	High, with limited flexibility	Low, due to intense competition

Highlight

FBx landscape in mature markets (US & CN) is primarily shaped by two factors: 1) **demand & supply structure**; 2) **3PF alternatives.** The FBx model is best suited for:

- **Short-tail markets**: Users have high expectations for product quality and service experience. FBx model holds a clear advantage and builds a strong competitive moat
- When **partnering with existing 3PFs** fails to meet user fulfillment demands, or has a significant cost disadvantage

In contrast, in **long-tail markets** with massive **small & fragmented and highly competitive 3PF players**, integrating 3PF resources (Cainiao model) boosts efficiency

Next Steps

We assess the landscape of SEA to determine if we should continue to overinvest in FBS and the tradeoffs vs SLS profits

Notes: 1) Source: CNCB CI; platform(CB+Local) data; for details pls refer to the link ; 2) 3PF: includes both 3PF providers offering comprehensive fulfillment solutions and express delivery companies that focus solely on last-mile delivery

Key questions to answer as we continue to drive FBS adoption across markets…

Focus Areas	Key Considerations
1 Do we have the right SKU profile to support WH demand?	• A higher concentration of **short tail SKUs** (both ADO/ADG) is more favourable for WH biz due to ease of acquisition and lower risk of blackstock
2 Are we able to compete effectively vs 3PFs for better WH supply?	• We can out compete 3PFs if a) **market share is fragmented** and absent of big organized players and b) we can have **better cost structure** in long run
3 Does LFF (especially FBS) make sense in terms of profitability?	• Although LFF has worse UE than SLS, we can continue to push LFF if **overall profitability** is better due to **order uplift**; if not, we need to be more **discerning on our investments**

1 [SKU Profile] CB SKUs are moderately short tailed across markets, with TH/VN/PH more concentrated at 40%-50% and SG/MY less at 20%-30%

Table: CB MP SKU ADIS Distribution and Short-Tail SKU Pool Coverage

	2025 Q1 CB MP ADO						2025 Q1 CB MP ADGMV (USD)					
CB MP SKU ADIS distribution	Total	SG	MY	TH	VN	PH	Total	SG	MY	TH	VN	PH
>2	837,955	24,955	85,286	124,194	254,501	349,019	4,657,894	319,610	743,323	935,647	842,720	1,816,594
1-2	203,925	11,765	30,234	35,168	53,376	73,382	1,340,189	142,059	273,930	279,146	200,684	444,371
0.5-1	216,412	14,703	35,105	37,834	54,826	73,945	1,520,248	184,365	327,426	304,218	223,898	480,341
0.3-0.5	157,581	12,090	27,441	27,858	39,119	51,073	1,182,352	153,513	265,817	232,083	173,022	357,916
<0.3	875,222	97,185	181,210	159,347	197,091	240,388	7,758,086	1,385,889	1,903,719	1,418,571	1,102,646	1,947,262
ST SKU coverage (ADIS >2)	37%	16%	24%	32%	42%	44%	28%	15%	21%	30%	33%	36%
ST SKU coverage (ADIS >1)	45%	23%	32%	41%	51%	54%	36%	21%	29%	38%	41%	45%

Key Highlights

1. Overall short-tail SKU's, as defined by ADIS >1, concentration in SEA (excl ID) account for 45% of total CBMP ADO coverage, and super short tail SKUs (those with ADIS > 2) contributing 37% of total CBMP ADO

2. By market: TH, VN, and PH show relatively higher short-tail concentration, with ADIS > 1 SKU ADO coverage ranging from 41% to 54%. While SG and MY have lower short-tail concentration, with ADIS > 1 SKU ADO coverage at only 23% to 32%

Summary

3. SEA market is moderately short tailed
4. 45% of CB ADO or 36% of CB ADG are from SKUs which are potentially suitable for WH business; SKUs with lower ADIS will see lower seller willingness to put into WH

2 [Competitor - 3PF Landscape] WH landscape is fragmented in MY/TH and PH, indicating some potential for Shopee to consolidate using scale advantage

Table: 3PF WH Share across Markets

xxx Top 1 3PF in the Market

		Total		SG		MY		TH		VN		PH	
		Shopee ADO	Est. total ADO*	Shopee ADO	Est. total ADO*	Shopee ADO	Est. total ADO*	Shopee ADO	Est. total ADO*	Shopee ADO	Est. total ADO*	Shopee ADO	Est. total ADO*
Top 3PFs	Shopee FBS	109,014	109,014	8,603	8,603	26,383	26,383	15,145	15,145	17,854	17,854	41,029	41,029
	Yuancang	21,982	43,964	57	113	5,190	10,380	5,269	10,538	2,187	4,373	9,280	18,559
	AsiaECS	17,164	49,040	486	1,389	2,867	8,193	2,222	6,348	1,581	4,518	10,008	28,593
	ESTP	12,377	24,875	883	1,150	1,533	3,322	2,761	7,443	229	405	6,971	13,337
	Golucky	11,382	37,940	0	0	2,140	7,132	4,164	13,880	0	0	5,078	16,928
	Seaya	10,902	21,910	0	0	3,735	8,093	1,787	4,817	1,030	1,821	4,350	8,322
	Flash	9,083	18,254	0	0	1,111	2,407	2,581	6,959	3,318	5,867	2,072	3,965
	Jingqi	7,470	15,012	2,045	6,000	1,908	4,135	0	0	0	0	3,517	6,728
	Andayun	5,237	10,524	0	0	0	0	0	0	5,237	9,258	0	0
3PF Market Share on Shopee	Top 3 3PFs	/	30%	/	67%	/	36%	/	30%	/	67%	/	33%
	Top 10 3PFs	/	59%	/	95%	/	72%	/	65%	/	96%	/	64%
	Fragmentation 1	Medium		Low		Medium		Medium		Low		Medium	
SHP vs biggest 3PF player 2		/	2.2x	/	1.4x	/	2.5x	/	1.1x	/	1.9x	/	1.4x

* Note: for non-Shopee platform ADO estimated based on 3PF's feedback / Shopee CB ADO market share

Key Highlights

1. Across SEA markets (excl ID), the 3PF landscape is fragmented: the top 3 3PFs contribute to 30% of 3PF share on Shopee and top 10 3PFs contribute ~59%.
   a. SG/VN are concentrated to top providers, with top 3 3PFs contributing ~67% and the top 10 exceeding 90%;
   b. MY/TH/PH are moderately concentrated, with the top 10 accounting for ~60%-70% of total 3PF ADO
2. Our biggest competitors are 2 established players - Yuancang and AsiaECS, Shopee FBS currently holds volume advantage over the largest 3PFs in most markets except in TH where Shopee FBS volume is only 1.1x of next largest player
   a. TH sees restrictions in the form of licenses which inhibits CB FBS to realise full potential while 3PFs can sell via grey channel/under-declaration

Summary

3. Shopee FBS holds size advantage over 3PFs even as we consider their volume operating on other platforms and the 3PF landscape is fragmented enough for Shopee to win via better economies of scale and services in the long run, although competition will be intense in the short run due to options available for sellers

2 [Competitor - 3PF Cost] Shopee FBS WH CPO is currently higher vs top 3PFs across most markets except VN; gap is driven by staffing cost, potentially due to unregulated labour force

Table: Shopee FBS vs Top 3PF CPO comparison (USD/order)

		SG			MY			TH			VN			PH		
Cost Category	Cost Component	FBS	Asia ECS (Top 4)	FBS vs 3PF	FBS	Yuancang (Top 1)	FBS vs 3PF	FBS	Yuancang (Top 1)	FBS vs 3PF	FBS	Yuancang (Top 3)	FBS vs 3PF	FBS	Asia ECS (Top 1)	FBS vs 3PF
Fixed Cost	FTE Staff Cost	0.79	0.37	0.42	0.04	0.04	0.00	0.09	0.03	0.06	0.02	0.04	-0.02	0.06	0.06	0.00
	Rental (Land, Equipment)	0.38	0.59	-0.21	0.10	0.10	0.00	0.09	0.06	0.03	0.04	0.08	-0.05	0.11	0.06	0.06
	G&A	0.16	0.09	0.08	0.05	0.03	0.03	0.03	0.02	0.01	0.01	0.03	-0.02	0.05	0.02	0.03
	Depreciation	0.09	0.07	0.02	0.01	0.01	0.00	0.02	0.02	0.00	0.03	0.02	0.01	0.01	0.01	0.00
Variable Cost	Manpower Cost	0.42	0.02	0.40	0.15	0.12	0.03	0.18	0.08	0.10	0.11	0.10	0.01	0.17	0.01	0.16
	Consumables	0.07	0.20	-0.13	0.02	0.02	0.00	0.05	0.04	0.02	0.02	0.03	-0.01	0.04	0.06	-0.01
Total		**1.91**	**1.33**	**0.58**	**0.36**	**0.31**	**0.05**	**0.47**	**0.25**	**0.22**	**0.22**	**0.30**	**-0.07**	**0.44**	**0.21**	**0.23**

Key Highlights

Shopee FBS WH CPO is higher than top 3PF across all SEA markets except VN, where VN FBS WH CPO (NNWH in CN) is slightly lower than 3PF (0.22 vs 0.28).

1. By market:
   a. SG/TH/PH FBS CPO higher vs 3PF mainly due to manpower cost, land cost and G&A
      i. SG 3PF FTE and manpower cost much lower than FBS mainly due to: 1) 3PF high reliance on non-compliant workers for lower cost 2) a lean structure with only 15-20 FTEs, and contractors hired only during mega campaigns on an hourly basis
   b. MY FBS CPO slightly higher vs 3PF benchmark (0.36 vs 0.30) due to higher variable manpower cost and G&A
   c. VN FBS CPO (NNWH in CN) slightly lower than 3PF in VN (0.22 vs 0.28)

Summary

2. It will be difficult for Shopee to compete with 3PFs on cost due to 1) cheaper labour force in less regulated markets like TH and PH and 2) higher equipment cost as a product of being a better managed WH

[Market Conduciveness Assessment] PH/SG are the most conducive markets for FBS, followed by MY and TH; VN local WH is less feasible due to high import tax

Table: Assessment of market conduciveness for FBS

Assessment Criteria	SG	MY	TH	VN	PH
1) Market landscape: Whether sales dominated by ST SKUs (ST=SKU ADIS>1)	**Low ST concentration** • ST SKU cover CB MP 23% ADO, 21% ADG	**Low ST concentration** • ST SKU cover CB MP 32% ADO, 29% ADG	**Mid ST concentration** • ST SKU cover CB MP 41% ADO, 38% ADG	**Mid ST concentration** • ST SKU cover CB MP 54% ADO, 45% ADG	**Mid ST concentration** • ST SKU cover CB MP 51% ADO, 41% ADG
2) Competitor landscape: Whether SHP WH with volume advantage vs other 3PF WH	**High scale advantage** • FBS scale much larger vs top 1 player (3.2x) • Highly concentrated (top 3 covering 60% of 3PF)	**High scale advantage** • FBS scale much larger vs top 1 player (2.5x) • Mid concentrated (top 3 covering 36% of 3PF)	**Mid/ Low scale advantage** • FBS scale only on par with top 1 player (1.1x) • Mid concentrated (top 3 covering 30% of 3PF)	**Mid scale advantage while lack of local CBWH in VN** • FBS scale larger vs top 1 player (1.4x) • While 3PF with WH in VN, FBS relies on CN NNWH	**High scale advantage** • FBS scale larger vs top 1 player (1.9x) • Mid concentrated (top 3 covering 33% of 3PF)
3) WH cost competitiveness: Whether SHP WH with cost advantage vs 3PF WH	**Mid** • FBS CPO higher vs 3PF (1.91 vs 1.33) mainly due to manpower cost • In process for automation to build cost advantage	**Mid** • FBS CPO slightly higher vs 3PF benchmark (0.36 vs 0.30)	**Low** • FBS CPO higher vs 3PF (0.47 vs 0.23) mainly due to manpower cost	**Mid** • FBS CPO (NNWH in CN) slightly lower than 3PF in VN (0.22 vs 0.28)	**Low** • FBS CPO higher vs 3PF (0.44 vs 0.21) mainly due to manpower cost
4) Regulation Constraints: Whether with high license requirement for SKU	**Mid/ Low constraints:** • While there are license requirements, most SG SKU have needed license	**Low constraints:** • Limited license requirements	**Mid license constraints** • Required TISI or EL product licenses • Alternative to do NNWH if no license but longer BWT	**Low constraints for CN WH** **High constraints** if to have VN local WH as VN requires white channel and limited sellers willing to pay import tax	**Low constraints:** • Limited license requirements
Assessment of market conduciveness for FBS (Local WH)	**High** • Potential to scale FBS further by targeting longer tail SKUs and optimizing WH cost structure • Lack of big players means easier to acquire sellers to FBS	**Mid** • Potential to grow by targeting longer tail SKUs • Cost gap vs top 3PF is not that wide and can be overcome with further cost optimization	**Mid/Low** • License limit ~20-30% of CB ADO from doing FBS • Difficult to have long term cost advantage vs 3PF who are also less regulated • Potentially explore partnering 3PFs	**Low** • Rely on CN NNWH and 3PF partners who offer local WH in VN will continue attract sellers who look for tax saving and shorter BWT	**High** • Conducive market to do CB FBS due to short tail SKUs and no legal constraints • Difficult to out compete 3PFs in cost structure, but can offer better services

Key Highlights

- Overall SEA market landscape is closer to CN landscape vs US, with moderately concentrated short tail SKUs, relatively lack of regulation in some markets, low ABS and fragmented 3PF players
- Shopee is still able to compete effectively in markets like SG, MY and PH as there either exists enough demand in terms of short tail SKUs, less regulatory restrictions to allow sellers to do businesses in the market even with lower ABS or Shopee having already being the dominant WH player in the market

3 LFF UE and Profitability Study

[Overview] UE of SLS SKUs converted to LFF is profitable in all markets, while those converted to FBS is not in some markets due to lower commission and less SLS revenue

Table: March newly converted SKU LFF UE breakdown (USD/order, March 2025)

Components	SG				MY				TH				VN				PH			
	FBS	3PF	Total LFF	Local (Ref)	FBS	3PF	Total LFF	Local (Ref)	FBS	3PF	Total LFF	Local (Ref)	FBS	3PF	Total LFF	Local (Ref)	FBS	3PF	Total LFF	Local (Ref)
ABS	$10.9	$13.4	$12.7	$36.5	$9.5	$11.2	$10.8	$17.2	$5.8	$9.2	$8.7	$13.0	$3.5	$5.4	$4.6	$9.7	$4.3	$6.5	$6.1	$7.2
MP Revenue 3	2.17	2.59	2.46	5.44	2.00	2.62	2.48	2.72	1.03	1.97	1.84	2.22	0.85	1.78	1.38	1.58	0.80	1.44	1.34	1.22
MP PRM 2	-1.80	-0.68	-1.03	-2.96	-2.13	-2.17	-2.16	-2.98	-1.28	-1.93	-1.84	-2.39	-0.91	-1.23	-1.09	-2.02	-1.05	-1.31	-1.27	-1.51
Transaction Fee	-0.20	-0.25	-0.23	-0.65	-0.13	-0.15	-0.14	-0.24	-0.09	-0.16	-0.15	-0.26	-0.01	-0.03	-0.02	-0.06	-0.04	-0.07	-0.07	-0.07
Logs PnL[1]	0.14	0.72	0.54	0.75	0.34	0.22	0.25	0.26	0.14	0.26	0.24	0.34	0.42	0.72	0.59	1.07	0.23	0.36	0.34	0.39
WH P&L	-0.40		-0.12		0.06		0.01		-0.12		-0.02		-0.08		-0.03		-0.04		-0.01	
Lump Sum UE 1	**-0.09**	**2.38**	**1.61**	**2.59**	**0.14**	**0.52**	**0.43**	**-0.24**	**-0.32**	**0.14**	**0.08**	**-0.09**	**0.27**	**1.25**	**0.83**	**0.58**	**-0.10**	**0.42**	**0.34**	**0.03**
UE % to GMV	**-0.8%**	**17.7%**	**12.7%**	**7.1%**	**1.5%**	**4.7%**	**4.0%**	**-1.4%**	**-5.5%**	**1.6%**	**0.9%**	**-0.7%**	**7.6%**	**23.1%**	**18.1%**	**6.0%**	**-2.4%**	**6.5%**	**5.5%**	**0.4%**

1b 1c

1. Logs PnL includes SLS profit, 3PL margin (LM) and SPX margin
2: MY Local UE negative due to one off Raya spend;

Key Highlights

1. Of the LFF SKUs that were converted directly from SLS, UE is profitable in all markets, but is generally lower vs local sellers, while we observe FBS UE to be negative in SG, TH and PH
   a. SG driven by **WH standalone PnL**, which will turn breakeven by year end
   b. TH due to **low FBS commission rate** (1% for CB FBS, lowest amongst all markets)
   c. PH due to low ABS resulting in **lower revenue**, along with **loss of SLS revenue** which was significant to PHCB UE
2. FBS PRM% of GMV is generally between 15-25% across market, which is quite similar to 3PF, and higher vs local sellers, mostly due to lower ABS
3. FBS revenue is lower vs 3PF and Local, driven by lower commission rate offered across market to drive seller acquisition

Next Steps / Framework of Analysis

- We will deep dive into PnL impact to Shopee when converting SLS SKU to FBS/ 3PF (i.e. before vs after conversion UE comparison)
- We will then consider the conversion rate uplift of FBS and 3PF which will generate more absolute revenue for LFF
- Lastly, assess overall profitability of LFF vs SLS (before conversion) in end state, and if we need to be making adjustments to improve in the long run

[Overview] Projecting into the end state, we expect WH PnL to improve, and the UE profile of FBS to converge towards that of a local order (similar commission and similar PRM levels)

SG UE Example (March '25 converted SKU)

Components	SG			
	FBS	3PF	Total LFF	Local (Ref)
ABS	$10.9	$13.4	$12.7	$36.5
MP Revenue	2.17	2.59	1 2.46	5.44
MP PRM	-1.80	-0.68	2 -1.03	-2.96
Transaction Fee	-0.20	-0.25	-0.23	-0.65
Logs PnL	0.14	0.72	0.54	0.75
WH PnL	-0.40		3 -0.12	
UE	**-0.09**	**2.38**	4 **1.61**	**2.59**

Components to deep dive later

4 key shifts we expect to see in UE components at the end state

1. MP revenue to increase due to potential adjustments in commission rate to benchmark that of local sellers
2. MP PRM to drop as we scale back our incentive program after acquiring most top FBS sellers
   a. Absolute PRM still expect to be lower vs Local due to lower ABS, but will see improvements in PRM% over GMV
3. WH PnL to improve as we hit our year end order targets RPI outpaces CPI
   a. Currently on track to hit year end targets
4. Overall UE to drop slightly vs current state as the intrinsic conversion rate uplift from SLS to LFF reduces while we scale down our investments
   a. For e.g. we currently see 81% uplift from SKUs converted from SLS to FBS in SG, this will drop to 63% after we normalize for PRM

[FBS End State] UE will improve with 1) WH PnL breakeven driven by ADO growth, 2) MP PRM optimization and 3) FBS base comm increase, but profitability expected to be lower vs SLS except SG

Table: UE comparison of SLS SKUs before converting to FBS vs after conversion to FBS, and projecting FBS UE into expected end state vs Local sellers

Components		SG				MY				TH				VN				PH			
		Before FBS (Actual)	After FBS (Actual)	After FBS (End)	Local (Ref)	Before FBS (Actual)	After FBS (Actual)	After FBS (End)	Local (Ref)	Before FBS (Actual)	After FBS (Actual)	After FBS (End)	Local (Ref)	Before FBS (Actual)	After FBS (Actual)	After FBS (End)	Local (Ref)	Before FBS (Actual)	After FBS (Actual)	After FBS (End)	Local (Ref)
ABS		$12.4	$10.9	$10.9	$36.5	$10.6	$9.5	$9.5	$17.2	$5.9	$5.8	$5.8	$13.0	$3.9	$3.5	$3.5	$9.7	$3.8	$4.3	$5.2	$7.2
MP Revenue	2	2.60	2.17	2.17	5.44	2.42	2.00	2.00	2.72	1.28	1.03	1.19	2.22	1.01	0.85	0.85	1.58	0.78	0.80	1.03	1.22
MP PRM	3	-1.58	-1.80	-1.44	-2.96	-2.08	-2.13	-1.85	-2.98	-1.21	-1.28	-1.19	-2.39	-0.94	-0.91	-0.84	-2.02	-0.98	-1.05	-1.12	-1.51
Transaction Fee		-0.23	-0.20	-0.20	-0.65	-0.14	-0.13	-0.13	-0.24	-0.07	-0.09	-0.09	-0.26	-0.02	-0.01	-0.01	-0.06	-0.04	-0.04	-0.05	-0.07
Logs PnL		0.93	0.14	0.14	0.75	0.67	0.34	0.34	0.26	0.30	0.14	0.14	0.34	0.66	0.42	0.42	1.07	0.50	0.23	0.27	0.39
WH PnL			-0.40	0.40			0.06	0.11			-0.12	0.10			-0.08	0.01			-0.04	0.08	
[a] UE	4	**1.73**	**-0.09**	**1.07**	**2.59**	**0.88**	**0.14**	**0.47**	**-0.24**	**0.28**	**-0.32**	**0.14**	**-0.09**	**0.71**	**0.27**	**0.43**	**0.58**	**0.26**	**-0.10**	**0.21**	**0.03**
UE % to GMV		**13.9%**	**-0.8%**	**9.7%**	**7.1%**	**8.3%**	**1.5%**	**5.0%**	**-1.4%**	**4.8%**	**-5.5%**	**2.4%**	**-0.7%**	**18.0%**	**7.6%**	**12.2%**	**6.0%**	**6.9%**	**-2.4%**	**4.0%**	**0.4%**
[b] Order uplift[1]	5	**-**	**81%**	**65%**	**-**	**-**	**86%**	**75%**	**-**	**-**	**37%**	**34%**	**-**	**-**	**31%**	**29%**	**-**	**-**	**5%**	**4%**	**-**
[a*1+b] UE after uplift		**1.73**	**-0.17**	**1.76**	**2.59**	**0.88**	**0.26**	**0.83**	**-0.24**	**0.28**	**-0.44**	**0.18**	**-0.09**	**0.71**	**0.35**	**0.55**	**0.58**	**0.26**	**-0.11**	**0.22**	**0.03**
Vs Before FBS	6	**-**	**-1.89**	**0.03**	**-**	**-**	**-0.62**	**-0.05**	**-**	**-**	**-0.72**	**-0.10**	**-**	**-**	**-0.36**	**-0.16**	**-**	**-**	**-0.37**	**-0.05**	**-**

1: Order uplift considers total order uplift before SLS SKU is onboarded to FBS and after onboarded to FBS, normalized with overall SLS order uplift

Key Highlights

Before converting to FBS vs After converting to FBS

1. We observe a) ABS drop slightly due to item per order decrease after joining FBS, b) MP revenue to decline driven by lowered commission rates, c) slightly higher PRM cost driven by voucher rebates, d) steep drop in Log PnL as LFF loses SLS revenue, e) gains additional WH cost, and f) total conversion rate uplift of between 4 to 86% vs SLS across markets

Projecting into end state, we should expect to

2. Close commission gap between FBS with Local by **increasing 4% for TH and 3% for PH** to improve revenue per order (SG/MY/VN FBS base comm already on par/ higher than local)
3. **Normalize PRM per order by up to 25%**, assuming reduction in voucher/item rebate usage (CPO will still be lower vs local due to lower ABS)
4. See all **WH PnL per order to turn positive** as order volume grows with positive revenue per item
5. Gain **additional revenue due to order uplift** from SLS order being switched to a FBS order, but slight decline vs today due to PRM normalization; generally, we see observed **high order uplift across markets except for PH**

In summary,

6. **All FBS UE expect to be positive across markets**, improving vs current state, but still be less profitable overall vs SLS, due to high SLS profitability except for SG
    a. SG expect to be more profitable vs SLS, after the WH CPI being reduced due to: 1) ADO meeting its targeted scale 2) automation saving on high manpower costs

[Backup] To make end state FBS more profitable than SLS, WH PPO will require to achieve at least 0.24 in average by Dec'28 (vs Dec'25 PPO at 0.10)

Table: Logs (SLS + SPX + 3PL) Profit per order

	Logs profit before FBS	Logs profit after FBS	Delta (profit loss from SLS)
Total	0.53	0.25	1 -0.28
SG	0.93	0.14	-0.79
MY	0.67	0.34	-0.33
TH	0.30	0.14	-0.16
VN	0.66	0.42	-0.24
PH	0.50	0.23	-0.27

Table: Target WH Profit per order (PPO)

	Current PPO	Projected Dec'25 PPO	Initial projected Dec'28 (a)	Stretched PPO required to achieve target UE (b)	Required incremental PPO in Dec'28 (b-a)
Total	-0.08	0.10	0.15	2 0.24	+0.10
SG	-0.51	0.13	0.48	0.42	Already exceed
MY	0.04	0.13	0.16	0.20	+0.04
TH	-0.12	0.14	0.14 (WIP)	0.25	+0.11
VN	-0.06	0.02	0.02 (WIP)	0.21	+0.19
PH	-0.08	0.10	0.15	0.25	+0.10
Implied UE after uplift	**FBS less profitable vs SLS**			**FBS more profitable vs SLS**	

1 After SKU converted from SLS to FBS, Logs profit per order become lower by average -0.28 due to loss of SLS profit

2 To make FBS profitability on par to SLS, WH PPO required to achieve at least 0.24 in average by Dec'28 (vs Dec'25 at 0.10)

- PPO in SG expect to increased to 0.48 driven by SGWH aggressive ADO targets and optimization / automation

[3PF End State] Similar to FBS, 3PF UE to be higher than local order UE and expect to be more profitable vs before converted from SLS

Table: UE comparison of SKUs before converting to FBS vs after conversion to FBS, and projecting FBS UE into expected end state vs Local sellers

Components		SG				MY				TH				VN				PH			
		Before 3PF (Actual)	After 3PF (Actual)	After 3PF (End)	Local (Ref)	Before 3PF (Actual)	After 3PF (Actual)	After 3PF (End)	Local (Ref)	Before 3PF (Actual)	After 3PF (Actual)	After 3PF (End)	Local (Ref)	Before 3PF (Actual)	After 3PF (Actual)	After 3PF (End)	Local (Ref)	Before 3PF (Actual)	After 3PF (Actual)	After 3PF (End)	Local (Ref)
ABS		$12.5	$13.4	$13.4	$36.5	$11.0	$11.2	$11.2	$17.2	$9.9	$9.2	$9.2	$13.0	$4.7	$5.4	$5.4	$9.7	$5.9	$6.5	$6.5	$7.2
MP Revenue	2	2.61	2.59	2.91	5.44	2.41	2.62	3.01	2.72	1.95	1.97	2.02	2.22	1.59	1.78	1.78	1.58	1.36	1.44	1.49	1.22
MP PRM		-0.59	-0.68	-0.68	-2.96	-1.78	-2.17	-2.17	-2.98	-1.71	-1.93	-1.93	-2.39	-1.03	-1.23	-1.23	-2.02	-1.13	-1.31	-1.31	-1.51
Transaction Fee		-0.23	-0.25	-0.25	-0.65	-0.15	-0.15	-0.15	-0.24	-0.15	-0.16	-0.16	-0.26	-0.02	-0.03	-0.03	-0.06	-0.06	-0.07	-0.07	-0.07
Logs P&L*		1.34	0.72	0.72	0.75	0.72	0.22	0.22	0.26	0.15	0.26	0.26	0.34	0.63	0.72	0.72	1.07	0.49	0.36	0.36	0.39
[a] UE		**3.13**	**2.38**	**2.70**	**2.59**	**1.20**	**0.52**	**0.91**	**-0.24**	**0.25**	**0.14**	**0.18**	**-0.09**	**1.17**	**1.25**	**1.25**	**0.58**	**0.66**	**0.42**	**0.47**	**0.03**
UE % to GMV		**25.1%**	**17.7%**	**20.1%**	**7.1%**	**10.9%**	**4.7%**	**8.1%**	**-1.4%**	**2.5%**	**1.6%**	**2.0%**	**-0.7%**	**24.8%**	**23.1%**	**23.1%**	**6.0%**	**11.1%**	**6.5%**	**7.3%**	**0.4%**
[b] Order uplift[1]	3	**-**	**73%**	**59%**	**-**	**-**	**91%**	**68%**	**-**	**-**	**91%**	**88%**	**-**	**-**	**10%**	**10%**	**-**	**-**	**17%**	**12%**	**-**
[a*1+b] UE after order uplift		**3.13**	**4.12**	**4.29**	**2.59**	**1.20**	**0.99**	**1.53**	**-0.24**	**0.25**	**0.27**	**0.35**	**-0.09**	**1.17**	**1.37**	**1.37**	**0.58**	**0.66**	**0.49**	**0.53**	**0.03**
Vs Before FBS	4+5	**-**	**0.99**	**1.16**	**-**	**-**	**-0.21**	**0.33**	**-**	**-**	**0.02**	**0.10**	**-**	**-**	**0.20**	**0.20**	**-**	**-**	**-0.16**	**-0.13**	**-**

1: Order uplift considers total order uplift before SLS SKU is onboarded to 3PF and after onboarded to 3PF, normalized with overall SLS order uplift

Key Highlights

Before converting to 3PF vs After converting to 3PF

1. We observe a) ABS maintain/grew across most markets, b) MP revenue mostly maintain due to similar commission rate, c) slightly higher PRM cost driven by voucher rebates, d) drop in Log PnL as LFF loses SLS revenue but relatively better vs FBS due to 3PF having heavier items profile, and f) total conversion uplift between 10-91% vs SLS across markets

Projecting into end state, we should expect to

2. Improve UE as 3PF matches SLS in commission rate
3. Gain additional revenue due to order uplift from SLS order being switched to a 3PF. We expect order uplift become lower in the end state as sellers are expected to increase price after base comm fee increased to match SLS

In Summary

4. All 3PF UE will further improve at the end state driven by the higher commission rate
5. Due to the high order uplift observed and relatively less loss of revenue vs FBS, 3PF UE is expect to be profitable vs SLS except for PH market, as uplift is lower and PHCB SLS contributing significantly to UE before

[Backup] 3PF base commission in SG/MY/TH will match SLS and therefore enhance end state UE

Table: CB base commission fee by market

Breakdown by Markets		Current Base Commission Fee Rate Card						Upcoming Adjustments		
		FBS	3PF	SLS	Local	FBS vs SLS	3PF vs SLS	FBS Changes	3PF Changes	SLS Changes
SG	Mall	9%	11%	13%	8.72%-10.9%	-4%	-2%	/	+2.9%	/
	Non-Mall				4.36-7.63%					
MY	Mall	10%	12.50%	12-15%	8%-13%	-2% to -5%	-2.5% to 0%	/	+4.5%	/
	Non-Mall				4%-8%					
TH	Mall	3%-5%	8%-10%	9%-11%	5.35%-11.77%	-6%	-1%	+4% in end state	+0.6%	/
	Non-Mall	1%-3%	6%-8%	7%-9%	5.35%-9.63%					
VN	Mall	10%	1.5%-10%	13.60%	1.0% - 13.865%	-3.60%	-3.60%	/	/	+1.0%
	Non-Mall				1.5% - 10.0%					
PH	Mall	4.5%-7.92%	8.24%-11.56%	10.08%	6.12%-11.08%	-5.58% to -2.16%	-1.84% to 0%	+3% in end state (+1% in 2025)	+1.0%	+1.0%
	Non-Mall	5.20%	8.74%		7.24%-8.74%	-4.88%	-1.34%			

1. Currently 3PF base comm is lower than SLS across markets by 2-4%
2. Next to increase 3PF base comm to match SLS base comm to further enhance LFF UE vs SLS

[LFF End State] We project LFF UE to improve with both FBS/3PF UE being positive, and become more profitable vs SLS in most markets except for VN and PH

Table: Projected LFF UE end state breakdown (USD)

Components	SG				MY				TH				VN				PH			
	FBS (End)	3PF (End)	Total LFF (End)	Local (Ref)	FBS (End)	3PF (End)	Total LFF (End)	Local (Ref)	FBS (End)	3PF (End)	Total LFF (End)	Local (Ref)	FBS (End)	3PF (End)	Total LFF (End)	Local (Ref)	FBS (End)	3PF (End)	Total LFF (End)	Local (Ref)
ABS	$10.9	$13.4	$11.7	$36.5	$9.5	$11.2	$10.4	$17.2	$5.8	$9.2	$8.2	$13.0	$3.5	$5.4	$3.8	$9.7	$4.3	$6.5	$5.4	$7.2
MP Revenue	2.17	2.91	2.41	5.44	2.00	3.01	2.56	2.72	1.19	2.02	1.79	2.22	0.85	1.78	0.98	1.58	0.86	1.49	1.18	1.22
MP PRM	-1.44	-0.68	-1.20	-2.96	-1.85	-2.17	-2.03	-2.98	-1.19	-1.93	-1.73	-2.39	-0.84	-1.23	-0.89	-2.02	-0.93	-1.31	-1.12	-1.51
Transaction Fee	-0.20	-0.25	-0.22	-0.65	-0.13	-0.15	-0.14	-0.24	-0.09	-0.16	-0.14	-0.26	-0.01	-0.03	-0.02	-0.06	-0.04	-0.07	-0.06	-0.07
Logs PnL	0.14	0.72	0.33	0.75	0.34	0.22	0.27	0.26	0.14	0.26	0.23	0.34	0.42	0.72	0.46	1.07	0.23	0.36	0.29	0.39
WH PnL	0.40		0.27		0.11		0.05		0.10		0.03		0.01		0.01		0.08		0.04	
[a] UE 1	**1.07**	**2.70**	**1.59**	**2.59**	**0.47**	**0.91**	**0.72**	**-0.24**	**0.14**	**0.18**	**0.17**	**-0.09**	**0.43**	**1.25**	**0.54**	**0.58**	**0.19**	**0.47**	**0.33**	**0.03**
UE % to GMV	**9.7%**	**20.1%**	**13.5%**	**7.1%**	**5.0%**	**8.1%**	**6.9%**	**-1.4%**	**2.4%**	**2.0%**	**2.1%**	**-0.7%**	**12.2%**	**23.1%**	**14.3%**	**6.0%**	**4.3%**	**7.3%**	**6.1%**	**0.4%**
[b] Order uplift	**65%**	**59%**	**63%**	**-**	**75%**	**68%**	**71%**	**-**	**34%**	**88%**	**73%**	**-**	**29%**	**10%**	**27%**	**-**	**4%**	**12%**	**8%**	**-**
[a*1+b] UE after order uplift	**1.76**	**4.29**	**2.59**	**2.59**	**0.83**	**1.53**	**1.22**	**-0.24**	**0.18**	**0.35**	**0.30**	**-0.09**	**0.55**	**1.37**	**0.68**	**0.58**	**0.20**	**0.53**	**0.36**	**0.03**
Vs Before LFF 2	**0.03**	**1.16**	**0.39**	**-**	**-0.05**	**0.33**	**0.16**	**-**	**-0.10**	**0.10**	**0.04**	**-**	**-0.16**	**0.20**	**-0.11**	**-**	**-0.07**	**-0.13**	**-0.10**	**-**

Key Highlights

1. In the long run, we expect LFF UE to improve further from current state
2. We also expect LFF to be more profitable vs SLS across most markets except for VN and PH from lower order uplift; however, FBS UE will not be better off vs SLS due to lower commission rate that is benchmarked to local now

Some other potential levers to improve UE and conversion further moving forward

3. Improvement of WH PnL through VAS services, increase of rate card, further optimization of cost to due achieving economies of scale
4. Improvement of LFF Logs PnL by launching SLS consolidated seashipping channel
5. Improvement of conversion through better branding of FBS tagged items
6. Improvement of conversion through combine checkout initiative

Although 3PF UE currently outperforms FBS, we should continue to drive FBS due to better buyer experience, reinforcing our market share and building new meaningful profit contributor

Strategic reasons to prioritize FBS over 3PF	Key Considerations
1 Enhance Buyer Experience with Full Control	• Local CBWH outperforms 3PF in both BWT and SDH% in all markets (except for NNWH in VN) • Gain control over all factors for buyer experience, removing dependency on third-party WH quality
2 Reinforce Dominance of Shopee's Market Share	• SHP FBS Sellers are required to reserve stocks in SHP WH which helps to defend SHP market share • Other e-commerce players will also benefit by gaining LFF share if sellers choose 3PF instead of FBS
3 Establish WH as New Profit Engine in Long Term	• With Local Fulfillment being the major SEA market trends, FBS WH business with potential to be the next profit engine in the long run

[Back up] Local CBWH outperforms 3PF in both BWT and SDH% (except NNWH) and better improve SHP buyer experience in all markets

WIP, confirming data with CN LFF Ops

Table: CB orders Buyer Waiting Time (BWT, Q1'25)

	SLS	3PF	FBS	FBS vs SLS	FBS vs 3PF
SG	4.3	2.1	1.6	1 -2.7	-0.4
MY	6.7	2.8	2.3	-4.3	-0.5
TH	6.6	2.2	1.9	-4.8	-0.3
TH (NNWH)	6.6	2.2	5.6	-1.0	3.4
VN (NNWH)	7.6	3.1	4.2	-3.4	1.1
PH	6.7	3.0	2.6	-4.1	-0.4

Table: CB orders Same Day Handover (SDH%, Q1'25)

	3PF	FBS	FBS vs 3PF
SG	86%	98%	2 12%
MY	87%	99%	11%
TH	87%	88%	1%
TH (NNWH)	87%	97%	10%
VN (NNWH)	87%	95%	8%
PH	90%	96%	6%

Key Highlights

1. For Buyer Waiting Time (BWT), FBS Local CBWH outperforms SLS by saving 3-5 days and outperforms 3PF by saving 0.5 days in Q1'25
   a. NNWH is based in China and thus with longer BWT vs 3PF. However, comparing to SLS, NNWH still save 3.4 days in VN and save 1 days in TH
2. For Same Day Handover (SDH%), FBS outperforms 3PF in all countries by more than 10% in SG/MY and by more than 5% in the rest markets
   a. TH CBWH Same Day Handover is lower at 88% due to D-Day backlog issue

Summary

[FBS Summary] Propose for SG, MY and PH to continue to grow FBS but with plan in long term to improve UE, and for TH to assess need to invest in FBS heavily due to restrictions and competition

Assessment Criteria	SG	MY	TH	VN	PH
[Part 1 and 2] **Assessment of market conduciveness for FBS (Local WH)**	**High** • Potential to scale FBS further by targeting longer tail SKUs and optimizing WH cost structure • Lack of big players means easier to acquire sellers to FBS	**Mid** • Potential to grow by targeting longer tail SKUs • Cost gap vs top 3PF is not that wide and can be overcome with further cost optimization	**Mid/Low** • License limit ~20-30% of CB ADO from doing FBS • Difficult to have long term cost advantage vs 3PF who are also less regulated • Potentially explore partnering 3PFs	**Low** • Rely on CN NNWH and 3PF partners who offer local WH in VN will continue attract sellers who look for tax saving and shorter BWT	**High** • Conducive market to do CB FBS due to short tail SKUs and no legal constraints • Difficult to out compete 3PFs in cost structure
[Part 3] **Long Term FBS Profitability**	**More profitable vs SLS** Profitability Gap: +$0.03/order 0.2% of ABS	**Less profitable vs SLS** Small Profitability Gap: -$0.05/order 0.5% of ABS	**Less profitable vs SLS** Small Profitability Gap: -$0.1/order 1.7% of ABS	**Less profitable vs SLS** Wide Profitability Gap: $-0.16/order 4.6% of ABS	**Less profitable vs SLS** Small Profitability Gap: $-0.07/order 1.6% of ABS
[Summary] **Proposed next steps**	**Continue to push FBS** but with plan to grow WH profitability through both CPI optimization and/or rate card increase (SG has lesser competition and potential to acquire faster)	**Continue to push FBS** but need to further improve WH profitability through CPI optimization/rate card increase	**Assessment needed. May continue to grow FBS** but need more aggressive WH profitability improvement and acquire high ABS SKUs / or if regulatory rules relaxed	**Rely on NNWH or partner with selected 3PFs to improve SDH**	**Continue to grow FBS** but to be more selective to acquire higher ABS SKUs

Agenda

1. CN Seller Overview
2. LFF Landscape and UE Study
3. **Counter TB**
4. SIP
5. US Tariff Impact Update
6. SLS NSB business plan

Executive summary

- **End game analysis: Due to the differencies in target customer and product positioning between SHP and TBG, the competition of the two is a CB battle rather than a platform war**
  - SHP emphasizes on price sensitive customer and local product driven assortment, while TBG focuses on high-value customers and CB product driven assortment. And TBG business has low ceiling as it has no LFF or local sellers
- TBG's KSFs: TBG's business volume is driven by the synergy of CN niche assortments as well as the minimal marginal incremental investment from sellers

- **SHP vs. TBG gap analysis: By optimizing the product assortment and seller structure in high-potential TBG categories, SHP can gradually capture mindshare among TBG target customers**
  - **User-end gap:** Overlap exists among SHP and TBG users and the spending of TBG users on SHP declined over the past months
  - **Seller-end gap:** Gaps exist in ADG and #listing in F&B, Fashion, Beauty and Furniture; and we can further strengthen our position through logistics improvements & PRM adjustments

- **Counter TB focus and path: We aim to continuously support ST brand sellers onboarding and select trader sellers by providing incentives and seller-friendly platform policies**
  - 68% GMV and 66% ADI are from either brand-oriented or short-tail non brand-oriented categories, meaning that we have substantial addressable market for counter TB
  - **ST brand sellers and select trader sellers will be the key focus**, with efforts centered around closing the assortment gap particularly in the short- and mid-tail products by aligning with TBG's BAU pricing and leveraging SHP's broader user base vs. TBG

- **Program design: Through dedicated supporting programs, we target to acquire top TB sellers and leverage existing CN sellers (selected trader) to source SKUs we do not have**
  - **Top TB sellers:** We aim to design attractive incentives and provide support in brand exposure and marketing
  - **Selected trade sellers:** To replicate 润泽优's case to more sellers and broader categories, we will focus on improving seller operation efficiency such as fast listing and product testing

- **Program value: Based on the new competitive landscape, Counter-Taobao aims to reclaim TBG overlapping user wallet share, boost SHP ABS, and improve ROI through a stronger partner ecosystem vs before**

End Game Analysis: Due to the difference in target customer and product positioning between SHP and TB, the competition of the two is a CB battle rather than a platform war

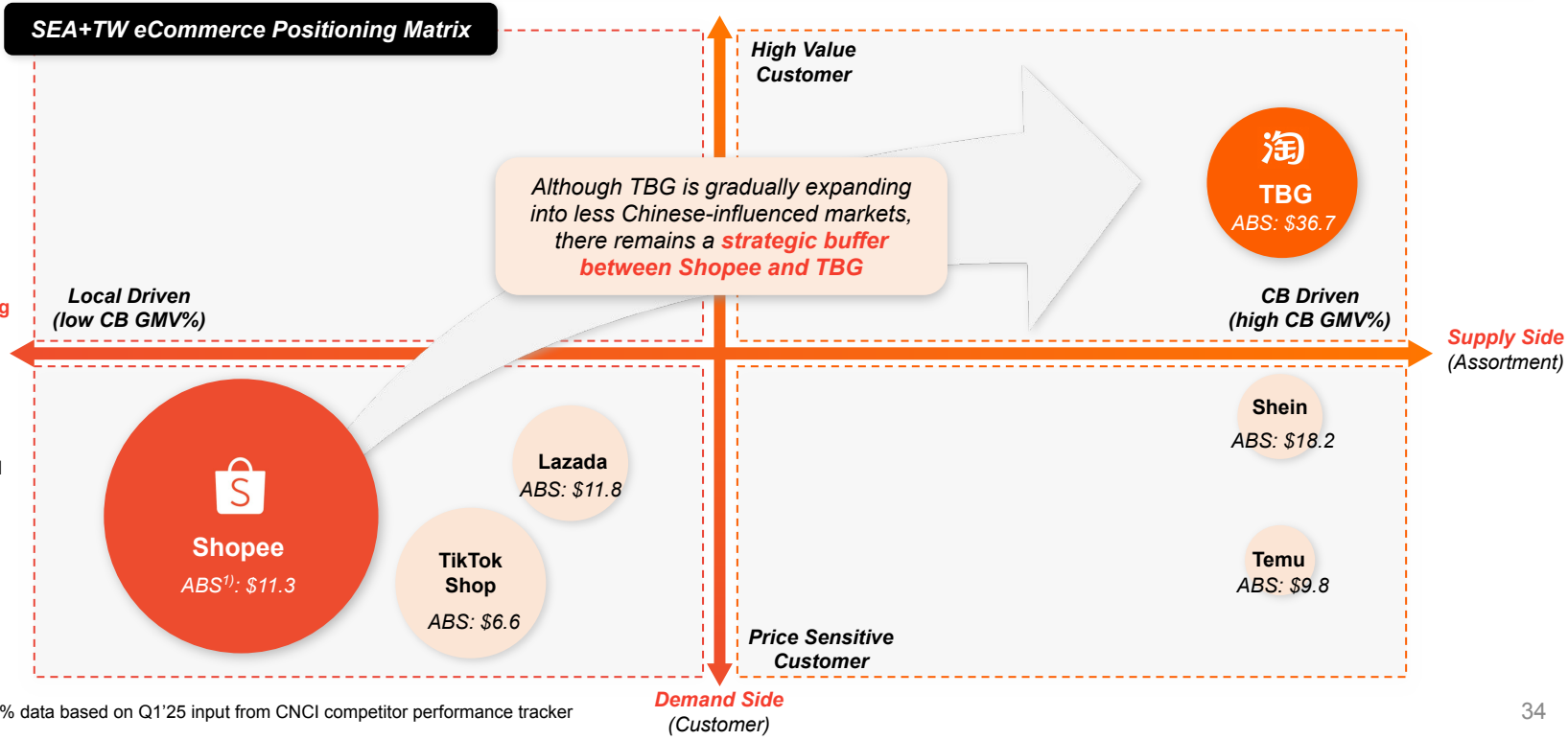
Sizable as Taobao becomes in SEA+TW markets, the competition between Shopee and Taobao is a CB business battle:

- **Supply side:** SHP focuses on price competitiveness and primarily targets price sensitive customers while Taobao emphasizes high-value customers with overseas Chinese and Chinese descent as the mainstream buyers. TBG business has low ceiling as it has no LFF or local sellers
- **Demand side:** SHP's sellers mainly consist of local sellers while TBG's sellers are from TBCN, and the products are tailored for Chinese buyers' preference

Bubble size
the platform's total GMV in SEA+TW market, Q1'25

Customer positioning
based on ABS level from CI competitor tracker

Product positioning
based on CB GMV pp% over total from CI competitor tracker



Note:1) ABS/GMV/CB pp% data based on Q1'25 input from CNCI competitor performance tracker

Appendix: raw data of SEA+TW e-commerce positioning matrix

SEA+TW (Q1'25)	Platform GMV'$mn	CB GMV pp% over platform	ABS'$
Shopee	14,709	7%	11.3
TTS	7,828	11%	6.6
Lazada	3,067	13%	11.8
Temu	241	100%	9.8
SHEIN	298	100%	18.2
TBG	1,915	100%	36.7

Note:1) ABS/GMV/CB pp% data based on Q1’25 input from CNCI competitor performance tracker

TBG's KSFs: Taobao Global's business volume is driven by the synergy of CN niche assortments as well as the minimal marginal incremental investment from sellers

Taobao Global's Growth Engine

*- **Niche assortment** continues to drive transaction volume*
*- **Nearly 0 marginal investment** lowers the barrier for seller participation*
>> leading to a substantial size of TBG with a stable growth

Niche assortments

Taobao CN's core assets

- Taobao dominates the China e-commerce industry in product assortment with #listing at 870mn (Mar'25)

Taobao Global's unique assortment advantage

- TBG sources products by penetrating TBCN, with a current SKU pp% at 60%. This mechanism makes TBG:
  - acquire high-quality and trendy SKUs rapidly with highly responsive CN supply chain
  - maintain price competitiveness in a certain period of time (time machine advantages) before the supply chain is fully replicated in local
  - offer unique products that cater to Chinese buyers' preferences (eg. Chinese-flavored snacks)

Low marginal seller investment

TBG seller profile

- Most TBG sellers are either unwilling to make significant investments in CB or have no prior experience in it

TBG's semi-consignment design

- TBG's semi-consignment model allows domestic sellers to operate with minimal additional investment
  - 0 migration cost, as CB and domestic businesses are operated in the same seller center
  - Key operation modules as fulfillment, marketing and ads are consigned
  - Sellers already have an understanding of their CB customers: overseas Chinese and Chinese descent

Source: Expert input and open source

Competition Analysis(1/4): Despite different core strengths in both demand and supply side, SHP has opportunities in optimizing its assortment and capturing TBG users

*SHP and TBG exhibit **significant differences in their core strengths** on both the supply and demand sides*
- By optimizing the product assortment and seller structure in high-potential TBG categories, Shopee can gradually capture mindshare among TBG target customers

Demand side

SHP core strengths

- A **larger user base** compared to TBG
- A strong youth user base
- A **complex user structure**: ethnic diversity, cultural diversity, and linguistic diversity

1 *Conduct demographic analysis on overlapping customers*

TBG core strengths

Buyers mainly consist of two types:

- Overseas Chinese with high **purchasing power** (students/workers)
- People of Chinese descents **strongly influenced by CN culture and media**

Supply side

SHP core strengths

- A **significant presence of local** sellers and products
- A **differentiated assortment across sites**

2 *Supplement of underperforming but high-potential categories*

TBG core strengths

- Chinese sellers with **limited willingness and experience** in CB business
- Assortment is backed by China's **highly efficient and resource-rich supply chain**

1&2 Gap analysis see next pages

1 User overlap analysis(2/4): Overlap exists among SHP and TBG users and the decline in spending of TBG users on SHP calls for SHP action to target high-value middle-aged TBG users

TBG user base overlap with SHP has been expanding esp. in SG and TW

- TBG user penetration within SHP has **steadily increased across key markets since Aug'24**, reaching 22% in SG, 19% in TW
- This suggests that increasing share of SHP users now also shop on TBG

TBG users' declining spending on SHP calls for SHP action

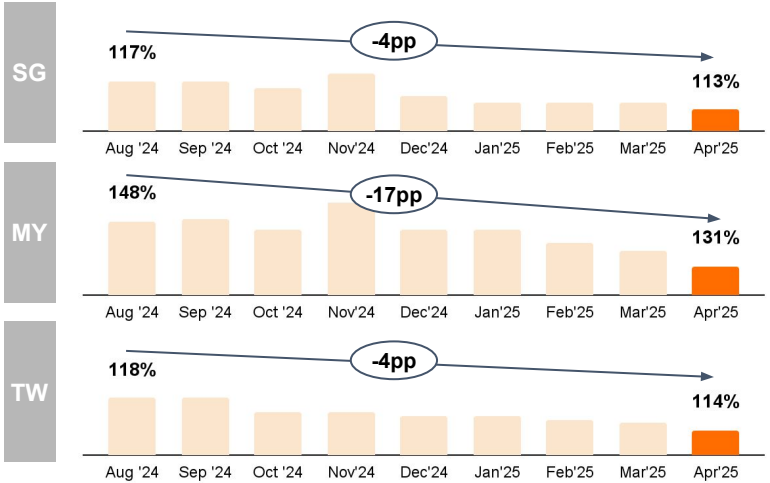
- In SHP key markets, TBG users' average spending as % of SHP users' average spending **has been declining** since Nov'24, dropping by up to 17% in MY
- **TBG users have been spending less on SHP**, indicating SHP needs to take action to retain their spending on SHP

TBG user base overlap with SHP[1)]

	SG	MY	TW
Aug '24	18.9%	5.6%	15.9%
Sep '24	19.5%	5.7%	16.1%
Oct '24	19.9%	5.7%	16.5%
Nov'24	20.2%	5.8%	17.1%
Dec'24	20.6%	5.9%	17.6%
Jan'25	21.1%	6.0%	18.1%
Feb'25	21.5%	6.1%	18.6%
Mar'25	21.8%	6.3%	19.0%
Apr'25	22.0%	6.7%	19.1%
Aug vs Apr Delta	***+3%***	***+1%***	***+3%***

Note: 1) TBG user base overlap with SHP: % of SHP platform users who also use Taobao Global (among SHP users who allowed access to their installed APP list)

TBG active user spending vs SHP avg. active user spending ratio on SHP



Note: 3) TBG active user spending as % of SHP active user spending = TBG active user average spending on SHP / SHP active user average spending on SHP

Source: CNCB BI TBG user analysis

2 Supply side gap analysis(3/4): SHP has ADG gaps vs. TB mainly in F&B, Fashion and Beauty and Furniture(TW), which are major categories SHP have potential to catch up

TBG (C buyers) and Shopee key metrics comparison [Mar'25] *,excluding small B results*

To be cross checked with multiple sources and local intel

TBG** (C buyers) **CB vs SHP CB ADG'$k	***SG***			***MY***			***TH***			***VN***			***PH***			***TW***			***SEA+TW***		
	SHP	TBG	SOB	SHP	TBG	SOB	SHP	TBG	SOB	SHP	TBG	SOB	SHP	TBG	SOB	SHP	TBG	SOB	SHP	TBG	SOB
Grand Total	2,374	1,452	1.6	3,918	4,272	0.9	3,291	1,820	1.8	2,318	1,537	1.5	5,471	1,006	5.4	1,415	5,520	0.3	18,786	15,607	1.2
Fashion	575	436	1.3	1,450	1,538	0.9	1,074	673	1.6	858	599	1.4	1,627	332	4.9	639	2,356	0.3	6,223	**5,934**	1.0
Home & Living (incl.furniture)	513	116	4.4	670	214	3.1	469	73	6.4	230	46	5.0	647	50	12.9	133	247	0.5	2,661	746	3.6
- Furniture [1)]	81	22	3.7	62	32	1.9	36	10	3.6	13	6	2.1	56	7	7.9	2	27	0.1	248	104	2.4
Home Appliances and Consumer Electronics	294	87	3.4	489	299	1.6	597	218	2.7	369	138	2.7	1,298	111	11.7	82	247	0.3	3,129	1,101	2.8
Beauty	367	189	1.9	355	513	0.7	284	146	2.0	484	123	3.9	504	80	6.3	200	544	0.4	2,195	**1,594**	1.4
Travel and Auto Parts	79	44	1.8	293	171	1.7	226	109	2.1	77	77	1.0	489	60	8.1	51	297	0.2	1,215	757	1.6
Books, Magazines and Entertainment	125	29	4.3	218	85	2.6	272	18	14.9	112	15	7.3	286	20	14.2	209	25	8.5	1,223	193	6.3
Computer & Office	95	87	1.1	143	85	1.7	138	91	1.5	80	92	0.9	262	60	4.3	30	173	0.2	748	589	1.3
Food & Beverage	207	378	0.5	155	1,025	0.2	75	364	0.2	36	338	0.1	146	231	0.6	36	1,236	0.0	656	**3,572**	0.2
Mom & Baby	77	87	0.9	107	342	0.3	116	127	0.9	57	108	0.5	159	60	2.6	25	395	0.1	541	1,120	0.5
Un-categorized (Shopee Pets)	40	-	-	38	-	-	41	-	-	14	-	-	54	-	-	9	-	-	196	-	-

Highlights

- **The main gap between SHP and TBG lies in Food & Beverage** (all sites), **Fashion** and **Beauty** (MY+TW). We hypothesize that the core reason is TBG's greater product and seller diversity in these categories, coupled with a better understanding of Chinese consumer preferences vs. SHP
- Even SHP has ADG advantages on H&L(excl. TW), the advantages sharply narrow/gap widen when zooming into Furniture [1)]
- **F&B, Fashion and Beauty present potential opportunities for SHP** as they are **Taobao's Top3 category considering the sizable GMV.** The performance gap can be narrowed by enriching the supply side through the introduction of CNCB sellers in these key categories

#Listing Gap analysis see next page

Source: Expert inputs and CNCB CI internal estimation

Note: 1) SHP furniture excluded Shelves & Racks, Cushions, Doorstoppers and Others to have an apple-to-apple comparison vs TBG furniture (mainly heavy and large household funiture)

2 Seller-end assortment Gap(4/4): From assortment perspective, the gap is also most apparent in F&B, Beauty and Fashion, highlighting where SHP should grow its product supply

TBG and Shopee number of listings[1] comparison by L1 category [May'25]

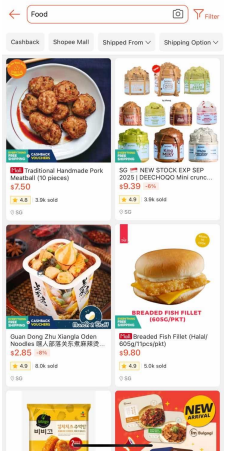
As of May '25	Total number of listing in SG+MY+TW (excl. duplicates)		
By Taobao L1 categories	**TBG**	**SHP CNCB**	**TBG / SHP ratio**
Grand Total	**129,762,153**	**70,251,844**	**1.85**
Fashion	53,442,874	37,470,335	1.43
Home & Living (incl.furniture)	762,544	1,441,687	0.53
Home Appliances & Consumer Electronics	6,428,465	7,939,813	0.81
Beauty	28,365,412	4,849,046	5.85
Travel and Auto Parts	483,542	4,573,505	0.11
Books, Magazines and Entertainment	1,736,512	3,935,328	0.44
Computer & Office	569,421	3,564,559	0.16
Food & Beverage	32,736,541	2,889,234	11.33
Mom & Baby	5,236,842	3,588,337	1.46

Note: 1) TBG and SHP number of listings include only active listings (excluding listings that are unlisted, frozen or deleted). Duplicate listings across sites have been excluded (i.e., if a listing exists in both SG and MY, it is only counted once).

TBG vs SHP front-end (MY, F&B as an expample)

TBG

SHP (Ship from CN)



Highlights

- **TBG has more active listings and thus richer assortments than SHP in TBG key sites (SG, MY, TW) -** overall TBG has **1.85x** listings that of SHP across 9 TBG L1 categories; **Major gap in assortment between SHP and TBG exists in F&B** (TBG/SHP ratio of **11.33x**), **Fashion** (TBG/SHP ratio of **1.43x**) and **Beauty** (TBG/SHP ratio of **5.85x**)
- Based on FE observation, **SHP and TBG have different assortment focuses** when it comes to **furniture** - **SHP furniture** assortment (eg. storage rack and cushion) mainly consists of **small and light items** whereas **TBG** furniture items (eg. bed and sofa) are more **comprehensive** as **large and bulky home furniture** are also available

Source: Expert inputs; Shopee internal data

Price simulation: SHP holds price advantages in Fashion, Beauty and Furniture esp. in SG and MY, and can further strengthen our position through logistics improvements & PRM adjustments

TBG vs. SHP price simulation by category by site [Apr '25]

TBG vs. SHP price[1)]	F&B	Fashion	Beauty	Furniture
SG	**$4.65 vs. $7.41** (59% more expensive)	**$11.76 vs. $12.80** (9% more expensive)	**$8.07 vs. $7.83** (3% cheaper)	**$59.24 vs. $61.98** (5% more expensive)
MY	**$4.35 vs. $5.37** (23% more expensive)	**$12.72 vs. $11.17** (12% cheaper)	**$7.69 vs. $5.42** (30% cheaper)	**$57.62 vs. $56.95** (1% cheaper)
TW	**$3.89 vs. $7.69** (98% more expensive)	**$17.52 vs. $17.39** (1% cheaper)	**$7.75 vs. $8.03** (4% more expensive)	**$77.77 vs. $100.74** (30% more expensive)

Highlights

- SHP holds price advantages in Fashion, Beauty and Furniture esp. in SG and MY, and can further strengthen our position through logistics improvements (SHP cheapest price across models - CB SLS, CB FBS, CB 3PF)
- Categories with (potential) price advantages are mostly concentrated in high-margin, non-standardized SKUs

Price advantageous cate: SHP avg. price lower vs. TBG

- SHP holds a price advantage in high-margin, non-standardized categories such as Fashion, Beauty, and Furniture

Opportunity cate: SHP avg. price is <20% higher vs. TBG

- SHP can compete with TBG by improving SLS channels/ increasing PRM /lowering SLS margin

Disadvantageous cate: SHP avg. price is ≥20% higher vs. TBG

- The high price gap is due to high shipping cost/low PRM investment, meanwhile TBG subsidizes all shipping cost for sellers

Note: 1)CNCB CI internal estimation; TBG price is estimated based on seller survey and expert input; SHP price is estimated based on seller survey and SHP Apr'25 actuals
By category price breakdown: Link

Appendix - price simulation - SG: SHP has already have price advantage in Beauty and can compete with Taobao Global in fashion and furniture by improving log solutions and log channels

Site: SG

	F&B				Fashion				Beauty				Furniture			
	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF
1)Cost of sellings	**$3.99**	**$4.18**	**$4.09**	**$4.0**	**$10.10**	**$9.13**	**$9.00**	**$8.8**	**$6.93**	**$4.81**	**$4.74**	**$4.7**	**$50.86**	**$41.08**	**$44.04**	**$43.7**
1.1 Cost of product	*$2.54*	*$2.54*	*$2.54*	*$2.5*	*$4.58*	*$4.58*	*$4.58*	*$4.6*	*$3.09*	*$3.09*	*$3.09*	*$3.1*	*$34.33*	*$34.33*	*$34.33*	*$34.3*
1.2 Cost of seller operation	*$0.43*	*$0.43*	*$0.43*	*$0.43*	*$0.55*	*$0.55*	*$0.55*	*$0.55*	*$0.43*	*$0.43*	*$0.43*	*$0.43*	*$0.49*	*$0.49*	*$0.49*	*$0.49*
1.3 R&R cost	*$0.08*	*$0.16*	*$0.15*	*$0.14*	*$0.21*	*$0.27*	*$0.26*	*$0.25*	*$0.15*	*$0.17*	*$0.16*	*$0.15*	*$1.08*	*$1.15*	*$1.20*	*$1.16*
1.4 seller margin	*$0.94*	*$1.05*	*$0.98*	*$0.92*	*$4.75*	*$3.72*	*$3.60*	*$3.42*	*$3.26*	*$1.12*	*$1.06*	*$1.00*	*$14.96*	*$5.11*	*$8.01*	*$7.72*
2)Cost of shipping	**$0.0**	**$3.1**	**$2.4**	**$2.1**	**$0.0**	**$3.2**	**$2.5**	**$2.2**	**$0.0**	**$2.9**	**$2.3**	**$2.1**	**$0.0**	**$11.7**	**$9.1**	**$8.2**
3)Seller quote + shipping costs	**$3.99**	**$7.24**	**$6.48**	**$6.17**	**$10.10**	**$12.32**	**$11.49**	**$11.04**	**$6.93**	**$7.73**	**$7.01**	**$6.72**	**$50.86**	**$52.79**	**$53.17**	**$51.93**
4)platform mark up	**$0.70**	**$1.32**	**$1.46**	**$1.30**	**$1.76**	**$2.16**	**$2.50**	**$2.24**	**$1.21**	**$1.36**	**$1.53**	**$1.37**	**$8.89**	**$9.61**	**$12.00**	**$10.95**
4.1 Platform take-rate	*$0.70*	*$1.31*	*$1.46*	*$1.30*	*$1.76*	*$2.16*	*$2.49*	*$2.24*	*$1.21*	*$1.36*	*$1.53*	*$1.37*	*$8.89*	*$9.61*	*$11.98*	*$10.93*
5) selling price before platform rebate	**$4.70**	**$8.75**	**$8.13**	**$7.65**	**$11.88**	**$14.90**	**$14.42**	**$13.69**	**$8.15**	**$9.35**	**$8.80**	**$8.33**	**$59.83**	**$63.83**	**$66.71**	**$64.35**
6) PRM - item rebate	$0.05	$0.27	$0.25	$0.24	$0.12	$0.97	$0.94	$0.89	$0.08	$0.56	$0.53	$0.50	$0.60	$1.85	$1.93	$1.87
7) Final price	**$4.65**	**$8.48**	**$7.88**	**$7.41**	**$11.76**	**$13.93**	**$13.48**	**$12.80**	**$8.07**	**$8.79**	**$8.27**	**$7.83**	**$59.24**	**$61.98**	**$64.78**	**$62.48**

Highlights

1. In low-ASP categories like F&B, SHP lacks price competitiveness due to higher log costs, while TBG offers free shipping and charges a similar take-rate
2. However, in high-margin, non-standardized categories like fashion, beauty, and furniture, SHP price are close to TBG or even cheaper than TBG because log costs represent a smaller portion and TBG sellers tend to have higher margins
   - 2a SHP can further compete with TBG by improving log solutions and log channels in fashion and furniture, as the price gap is limited
   - 2b SHP has already had price advantages against TBG in beauty and can further improve the advantage by improving log solutions

Note: Key assumptions and sources: 1.1) cost of product is derived from TBG final selling price deducted by costs; 1.2-1.4) cost of seller operation/RR/seller margin were based on seller survey and SHP level; 2) cost of shipping was based on SHP rate card; 3PF fee assume 90% of FBS; 3) seller quote+shipping cost=1)+2); 4) platform mark up is based on expert input(for TBG) and SHP Mar'25 actuals(for SHP); 5) selling price before rebate=3)+4); 6) TBG PRM ~3% based on expert input and SHP PRM based on April 2025 actuals

By category price breakdown: Link

Appendix - price simulation - MY: SHP already holds a price advantage in high-margin categories while still has a price gap in F&B

Site: MY

	F&B				Fashion				Beauty				Furniture			
	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF
1)Cost of sellings	**$3.74**	**$3.59**	**$3.62**	**$3.6**	**$10.92**	**$9.29**	**$9.25**	**$9.1**	**$6.60**	**$4.22**	**$4.19**	**$4.1**	**$49.47**	**$39.98**	**$42.87**	**$42.5**
1.1 Cost of product	*$2.34*	*$2.34*	*$2.34*	*$2.3*	*$5.02*	*$5.02*	*$5.02*	*$5.0*	*$2.92*	*$2.92*	*$2.92*	*$2.9*	*$33.35*	*$33.35*	*$33.35*	*$33.4*
1.2 Cost of seller operation	*$0.43*	*$0.43*	*$0.43*	*$0.43*	*$0.55*	*$0.55*	*$0.55*	*$0.55*	*$0.43*	*$0.43*	*$0.43*	*$0.43*	*$0.49*	*$0.49*	*$0.49*	*$0.49*
1.3 R&R cost	*$0.08*	*$0.16*	*$0.15*	*$0.14*	*$0.21*	*$0.27*	*$0.26*	*$0.25*	*$0.15*	*$0.17*	*$0.16*	*$0.15*	*$1.08*	*$1.15*	*$1.20*	*$1.16*
1.4 seller margin	*$0.88*	*$0.66*	*$0.70*	*$0.73*	*$5.14*	*$3.45*	*$3.42*	*$3.28*	*$3.11*	*$0.70*	*$0.68*	*$0.65*	*$14.55*	*$4.99*	*$7.82*	*$7.54*
2)Cost of shipping	**$0.0**	**$1.8**	**$1.4**	**$1.3**	**$0.0**	**$2.1**	**$1.7**	**$1.5**	**$0.0**	**$1.6**	**$1.2**	**$1.1**	**$0.0**	**$11.6**	**$9.0**	**$8.1**
3)Seller quote + shipping costs	**$3.74**	**$5.43**	**$5.06**	**$4.94**	**$10.92**	**$11.42**	**$10.92**	**$10.59**	**$6.60**	**$5.78**	**$5.40**	**$5.25**	**$49.47**	**$51.58**	**$51.91**	**$50.69**
4)platform mark up	**$0.70**	**$1.31**	**$1.46**	**$1.30**	**$1.76**	**$2.16**	**$2.49**	**$2.24**	**$1.21**	**$1.36**	**$1.53**	**$1.37**	**$8.89**	**$9.61**	**$11.98**	**$10.93**
4.1 Platform take-rate	*$0.70*	*$1.31*	*$1.46*	*$1.30*	*$1.76*	*$2.16*	*$2.49*	*$2.24*	*$1.21*	*$1.36*	*$1.53*	*$1.37*	*$8.89*	*$9.61*	*$11.98*	*$10.93*
5) selling price before platform rebate	**$4.40**	**$6.57**	**$6.35**	**$6.12**	**$12.84**	**$13.81**	**$13.70**	**$13.13**	**$7.77**	**$6.99**	**$6.78**	**$6.50**	**$58.20**	**$62.37**	**$65.14**	**$62.81**
6) PRM - item rebate	$0.04	$0.81	$0.79	$0.76	$0.13	$2.06	$2.04	$1.96	$0.08	$1.16	$1.13	$1.08	$0.58	$5.43	$5.67	$5.46
7) Final price	**$4.35**	**$5.76**	**$5.56**	**$5.37**	**$12.72**	**$11.75**	**$11.66**	**$11.17**	**$7.69**	**$5.83**	**$5.66**	**$5.42**	**$57.62**	**$56.95**	**$59.47**	**$57.34**

Highlights

1. In MY, SHP has already gained an advantage in high-margin, non-standardized categories, as sellers bear relatively lower shipping costs and TBG sellers still maintain high margin levels
2. For low-ASP categories like F&B, there is a price gap between SHP and TBG

Note: Key assumptions and sources: 1.1) cost of product is derived from TBG final selling price deducted by costs; 1.2-1.4) cost of seller operation/RR/seller margin were based on seller survey and SHP level; 2) cost of shipping was based on SHP rate card; 3PF fee assume 90% of FBS; 3) seller quote+shipping cost=1)+2); 4) platform mark up is based on expert input(for TBG) and SHP Mar'25 actuals(for SHP); 5) selling price before rebate=3)+4); 6) TBG PRM ~3% based on expert input and SHP PRM based on April 2025 actuals
By category price breakdown: Link

Appendix - price simulation - TW: In TW, SHP can prioritize opportunities in Fashion and Beauty categories because the price gap remains limited

Site: TW

	F&B				Fashion				Beauty				Furniture			
	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF	TBG	SHP CB SLS	SHP CB FBS	SHP CB 3PF
1)Cost of sellings	**$3.34**	**$3.26**	N/A	N/A	**$15.04**	**$12.38**	**$12.28**	**$12.1**	**$6.65**	**$4.67**	**$4.59**	**$4.5**	**$66.77**	**$55.80**	**$60.21**	**$59.5**
1.1 Cost of product	*$2.04*	*$2.04*			*$6.76*	*$6.76*	*$6.76*	*$6.8*	*$2.94*	*$2.94*	*$2.94*	*$2.9*	*$45.57*	*$45.57*	*$45.57*	*$45.6*
1.2 Cost of seller operation	*$0.43*	*$0.43*			*$0.55*	*$0.55*	*$0.55*	*$0.55*	*$0.43*	*$0.43*	*$0.43*	*$0.43*	*$0.49*	*$0.49*	*$0.49*	*$0.49*
1.3 R&R cost	*$0.08*	*$0.16*			*$0.21*	*$0.27*	*$0.26*	*$0.25*	*$0.15*	*$0.17*	*$0.16*	*$0.15*	*$1.08*	*$1.15*	*$1.20*	*$1.16*
1.4 seller margin	*$0.79*	*$0.63*			*$7.52*	*$4.80*	*$4.71*	*$4.50*	*$3.13*	*$1.13*	*$1.06*	*$1.00*	*$19.64*	*$8.59*	*$12.94*	*$12.30*
2)Cost of shipping (1)	**$0.0**	**$3.3**			**$0.0**	**$3.5**	**$2.7**	**$2.5**	**$0.0**	**$3.1**	**$2.4**	**$2.2**	(1) **$0.0**	**$33.0**	**$25.8**	**$23.2**
3)Seller quote + shipping costs	**$3.34**	**$6.53**			**$15.04**	**$15.88**	**$15.01**	**$14.51**	**$6.65**	**$7.79**	**$7.02**	**$6.71**	**$66.77**	**$88.82**	**$85.97**	**$82.70**
4)platform mark up	**$0.70**	**$1.31**			**$1.76**	**$2.16**	**$2.49**	**$2.24**	**$1.21**	**$1.36**	**$1.53**	**$1.37**	**$8.89**	**$9.61**	**$11.98**	**$10.93**
4.1 Platform take-rate	*$0.70*	*$1.31*			*$1.76*	*$2.16*	*$2.49*	*$2.24*	*$1.21*	*$1.36*	*$1.53*	*$1.37*	*$8.89*	*$9.61*	*$11.98*	*$10.93*
5) selling price before platform rebate	**$3.93**	**$7.89**			**$17.70**	**$19.20**	**$18.83**	**$17.98**	**$7.82**	**$9.42**	**$8.81**	**$8.32**	**$78.55**	**$107.40**	**$107.86**	**$102.48**
6) PRM - item rebate	$0.04	$0.21			$0.18	$0.63	$0.62	$0.59	$0.08	$0.32	$0.30	$0.28	$0.79	$1.83	$1.83	$1.74
7) Final price (1)	**$3.89**	**$7.69**			(2a) **$17.52**	**$18.57**	**$18.21**	**$17.39**	(2b) **$7.75**	**$9.10**	**$8.51**	**$8.03**	(1) **$77.77**	**$105.57**	**$106.03**	**$100.74**

Highlights

1. In TW, SHP currently has no price advantage in F&B and Furniture products due to high logistics costs — for example, last-mile delivery for furniture in TW imposes strict volume limits, with surcharges for oversized items, making shipping significantly more expensive than in other markets
2. **SHP's competitive opportunity against TBG lies in the Fashion and Beauty categories.** Currently, SHP offers lower or similar prices vs. TBG in Fashion while higher in Beauty
   - 2a SHP has already had price advantages against TBG in Fashion and can further improve the advantage by improving log solutions
   - 2b SHP can further compete with TBG by improving log solutions and log channels in Beauty, as the price gap is limited

Note: Key assumptions and sources: 1.1) cost of product is derived from TBG final selling price deducted by costs; 1.2-1.4) cost of seller operation/RR/seller margin were based on seller survey and SHP level; 2) cost of shipping was based on SHP rate card; 3PF fee assume 90% of FBS; 3) seller quote+shipping cost=1)+2); 4) platform mark up is based on expert input(for TBG) and SHP Mar'25 actuals(for SHP); 5) selling price before rebate=3)+4); 6) TBG PRM ~3% based on expert input and SHP PRM based on April 2025 actuals

By category price breakdown: Link

Counter TB focus and path: 68% GMV and 66% ADI are from either brand-oriented or short-tail non brand-oriented categories, meaning that we have substantial addressable market for counter TB

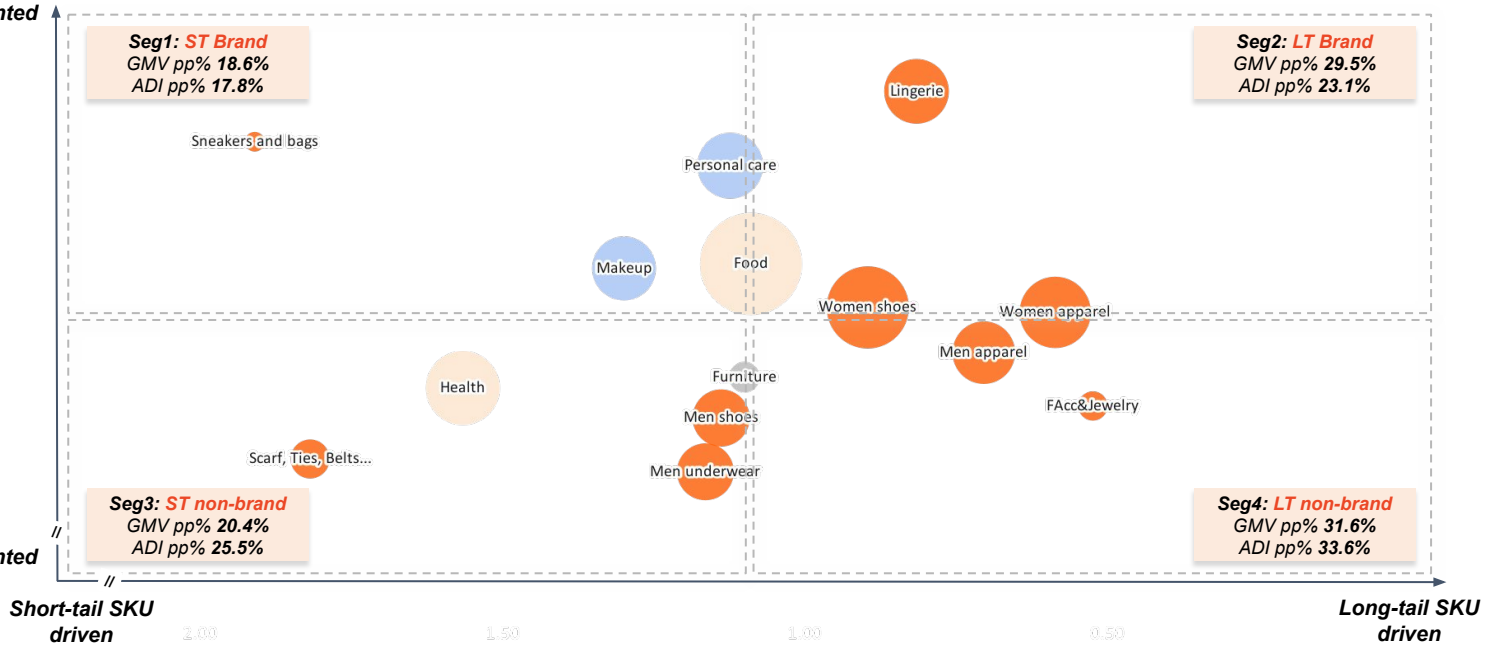
TBG focus cates breakdown *(by category group[1])*

Bubble size
GMV in SEA+TW[3] of L2 category

ST/LT SKU driven [2]
#item sold / #active listing ratio[3] in the L2 category

Brand/Non-brand
Tmall #item sold pp%[3] over the L2 category total

- F&B
- Fashion
- Beauty
- Furniture



We defined TBG's assortment into 4 types based on two dimensions: brand vs. non-brand and short tail vs. long tail

[Seg1] Categories with high sales concentration and a focus on branded products mainly include beauty products, and certain food items

[Seg2&3] Contributing to 49.9% total GMV, with categories that are brand-driven or short-tail SKU driven, typically including men's and women's underwear and furniture

[Seg4] Categories with weak brand presence and highly non-standard products, mainly including apparel and fashion accessories such as necklace, earrings and bracelets

Notes: 1) Category group within 4 focus categories: Fashion, Beauty, Furniture and F&B; 2) When the pp% of L2 #item sold over L1 total #item sold > the pp% of L2 #listing over L1 total #listing, then the L2 is defined as ST; Conversely, if the percentage of L2 listings relative to L1 total listings is greater, L2 is defined as LT; 3) Data from expert input

Counter TB focus and path (2/2): Specifically, we aim to continuously support ST brand sellers onboarding and select trader sellers by providing incentives and seller-friendly platform policies

***TBG assortment breakdown* by brand/non-brand and ST/LT** *(Focus categories [1] L2 split)*

***Segments 1/2/3* will be the *key focus*,** *with efforts centered around closing the assortment gap particularly in the short- and mid-tail products by aligning with TBG's BAU pricing and leveraging SHP's broader user base vs. TBG*

Brand-oriented

Path I

Seg1: ST Brand

Group feature: *Categories with strong brand user mindset and relatively high entry barriers, mostly in Beauty and F&B*

Core strategy: Brand acquisition

Acquire and engage brand sellers via favorable incentives (target to onboard XX ST brand sellers total in FY25)

Path II

Seg2: LT Brand

Group feature: *Highly non-standardized products with high seller margin, mostly women and men apparel*

Core strategy: SKU /selected trader /ERP sourcing

Leverage selected traders (Seg 2&3 ~10 sellers for each focus cates) with acumen of product trend and strong supply chain capabilities by offering support on daily ops

Path II

Seg3: ST Non-brand

Group feature: *More of standardized products with less brand user mindset and to satisfy partially diversified user demands*

Core strategy: SKU /selected trader /ERP sourcing

Similar tactics with Seg2; select trader sellers with strong supply chain capabilities and support with seller-friendly platform policies

Seg4: LT Non-brand

Group feature: *Long-tailed products that highly rely on assortment richness*

Core strategy: Strategic deprioritization *due to the low ROI to catch up with TBG (low SKU efficiency & difficult to cover non-brand sellers)*

Non brand-oriented

Short-tail SKU driven

Long-tail SKU driven

Notes: 1) Focus categories include Fashion, Beauty, Furniture and F&B; 2) When the pp% of L2 #item sold over L1 total #item sold > the pp% of L2 #listing over L1 total #listing, then the L2 is defined as ST; Conversely, if the percentage of L2 listings relative to L1 total listings is greater, L2 is defined as LT; 3) Data from expert input

TB Program high-level design: Through dedicated supporting programs, we target to acquire top TB sellers (Seg 1-3) and leverage existing CN sellers (mostly Seg 2&3) to source SKUs we do not have

Counter TB framework

	Focus L2 cate	Key lever	Details
Path I (Seg 1)	• Sneakers & Bags • Makeup • Personal care	• Acquisition package • Curation and exposure • Improve Price Comp. • SKU Cross-site Migration / Upload • FBS incentive • Mall onboarding support	• Offer **seller onboarding incentives** (e.g., commission discounts, ad credits, traffic support, mall onboarding support) across all markets • For sellers on SIP, **SIP** to auto migrate SKUs across markets and optimize pricing • Provide platform-wide brand promotion channels, develop **tailored brand packages and simplify the Mall seller onboarding process** to foster brand sellers' long-term investment on SHP • Provide home circle / Recommendation **traffic exposure** for top TB SKUs with competitive pricing
Path II (Seg 2&3)	• Lingerie • Food • Women & men shoes • Women apparel • Health • Furniture • Men underwear • Scarf, Ties, Belts	• ERP Integragtion (via 聚水潭) • Internal convert • SKU Sourcing incentive • SKU Cross-site Migration / Upload • Bulky Channel Enablement • Listing Policy Improvement	• Enable **bulk product listing uploads via ERP integration** • **Incentivize new SKU launches** with traffic boosts • Implement moderated **pre-sale** mechanisms • Provide phased operational support, including **local warehousing** and fulfillment support, and future **CNLS** convert support • Develop guidebook and wishlists to help target sellers systematically source shortlisted SKUs *Deep dive in the next page*

Key Highlights

Path focus

Seg 1 sellers: Design attractive incentives and provide support in brand exposure and marketing
Seg 2&3 sellers: Focus on improving ease and automation in fast listing and product testing

Current support

SKU sourcing incentive will be made available by 16 May. Seller will be eligible for these incentives as long as they source from the SKUs listed in the guide book.

Acquisition package is available for targeted TB seller to onboard the platform. Local Mall, New Seller and FBS incentives are also ready to support seller mode of operations if they choose to fulfil locally.

Path II success case: 3PF Trader 润泽优 is a typical and successful case that we can replicate to counter TBG focus cate

Seller Profile - 福州润泽优科技有限公司

[Introduction] A 3PF cross-border furniture trader with in-house logistics capabilities, also handling part of the 2C bulk shipping(集运) business, joined SHP in 2020

[Ops strategy on SHP] Adopt a Taobao hot-selling product following strategy, leverage supply chain resources to source goods, and rapidly replicate them in the SEA markets through a non-inventory model

[Supply chain info] Originally has resources in 广东佛山 industrial belt, gradually shifting to 河北胜芳 to further optimize product cost

[Performance] 24FY GMV achieved ~$21mn with SHP accounting for 70%

润泽优's product development route

Step1: trend product identification

- Analyze sales trends in the furniture category on Taobao and PDD to identify best-selling and emerging trend products

Step2: market test + factory sourcing

- Quickly list best-selling products by benchmarking Taobao and PDD to test user preferences in SEA, while simultaneously sourcing relevant factory partners

Step3: supply chain collaboration

- Leverage upstream factories and supply chain resources to offer tailored products for the SEA markets, reducing material and packaging standards to optimize costs

Step4: local fulfillment

- "Go local" to enhance customer experience by reducing delivery time

Seller Feedback

From operation lead, 润泽优:

Similar seller resource

"关于是否可以与本土跨境平台竞争，淘宝卖家，包括拼多多卖家，90% 的立场其实跟我们一样的，就是他们也是中间赚差价这样的卖家占多"

(not challenging for SHP to source sellers familiar with non-inventory model)

Supply chain maturity

"关于上游工厂发货的灵活度，上游工厂目前70%-80%是可以一件代发的"

"对于不能一件代发的，可以在当地找各种代理，他去原工厂提货，提完后我们从他这边去做分销，也比较成熟"

Sources: seller visit

Path II justifications & key lever: to replicate 润泽优's case to more sellers and broader categories, we can offer a series of incentives/internal improvements to accelerate their growth on SHP

The 润泽优 model is replicable due to:

- ***A typital model in CN**: This type of seller with extensive CN supply chain capabilities is **widely present in China***
- ***Able to balance long-tail assortment & price advantages**:*
  - *With **mature dropshipping(代发) and distributor(代理)** models in place, these sellers are able to rapidly & efficiently sell high-potential products to overseas markets*
  - *Traditional LT categories are often seen as challenging for CB models, but these sellers typically hold a **competitive advantage in such LT products***

Path II–specific growth levers

Key Levers		For furniture sellers	For all trader sellers[1)]	Seller feedback sample
Logistics	Provide **bulk-shipping** channel	√	P0	-
	Enable more flexible **order splitting and conbination**(拆单 & 合单)	√	-	"家居行业的特点，导致有一个床拆成 N个包裹的情况 "
	Optimize **last-mile delivery** mechanisms for large/bulky items	√	-	"尾程不愿意收件，因 为是按件收提成，大件的 话一车可能只能装几十件，可能会 亏本，更愿意收小件的 "
Customer Services	Offer **local installation services** to enhance user convenience	√	-	-
Seller ops policies	Implement moderated **pre-sale and return policy** for long-tail SKUs	√	P1	"预售然后 买家取消，被退 货后可以放当地 仓库，但是需要很久才能出第二个 SKU，库存管理困 难"
	Develop **category-specific DTS policies**	√	P0	-
	Introduce mechanisms (e.g. refund insurance) to **reduce R&R cost**	√	P2	-
Product features	Develop **OD order identification** feature to support tailored ops policies	√	P2	"客人在定制期 间直接取消 订单了或者订单发送完后取消，客 单价很高，国外寄不回来 "
	ERP integration [Short-term] Enable **bulk product uplisting** via ERP integration [Long-term] Optimize seller ERP integration to **streamline E2E ops**	√	P2	-

Notes: initial judgement, pending align with SHP internal resources

Counter TB target: at the end of 2025, the program targets to cover 26.3% of focus cates ADG and 10.3% of CNCB ADG

Counter TB program target [by Dec'25]

	Key metrics	Furniture			Fashion			F&B			Beauty			Program total	Program pp% as of CNCB
		Path I	Path II	Total	Path I	Path II	Total	Path I	Path II	Total	Path I	Path II	Total		
SKU #	Program SKU# target	125,977	120,385	246,362	231,260	105,612	336,872	Pending proj design finalization						583,234	/
	Program SKU# YoY%	*41.9%*	*40.0%*	*81.9%*	54.1%	24.7%	78.7%								/
ADO	Program ADO target	2 1,039	2,460	3,674	7,249	2,869	10,117	505	282	786	9,193	6,208	15,010	30,323	6.3%
	Program ADO YoY%	*47.0%*	*111.2%*	*171.2%*	55.3%	21.9%	77.2%	*N/A, to launch in May 2025*						/	/
	Category CB total ADG YoY%	/	/	1a 7.7%	/	/	1a -20.7%			15.4%			1.3%	/	/
	Program ADO pp% of cate CB	13.9%	32.8%	46.7%	4.6%	1.8%	6.4%	29.9%	16.7%	46.6%	23.4%	15.8%	38.3%	15.0%	/
ADG ($)	Program ADG target	126,557	121,325	257,354	72917	30028	115813	3,880	2,168	6,048	101,119	56,489	157,608	536,823	1b 10.3%
	Program ADG YoY%	*116.1%*	*111.3%*	*227.5%*	73.1%	30.1%	103.2%	*N/A, to launch in May 2025*						/	/
	Category CB total ADG YoY%	/	/	1.6%	/	/	-16.3%	/	/	30.92%	/	/	16.89%	/	/
	Program ADG pp% of cate CB	60.4%	34.6%	95.0%	5.5%	2.3%	7.8%	19.8%	11.0%	30.8%	26.4%	14.7%	41.1%	26.3% 1b	/

Notes: Initial estimation, pending alignment with internal resources

Highlights

1. **Overall target**:
   - 1a Counter TB program aims to significantly outperform both CNCB's overall growth targets (ADO YoY 6.9%, ADG YoY 14.36%) and category-level benchmarks
   - 1b The program aims to cover 26.3% of focus cates ADG and 10.3% of CNCB total ADG by end of 2025
2. **Main growth path**: vary by category, Furniture predominantly leverages Path II, whereas other categories adopt a more balanced approach across Path I and II

TB program by site seller performance: Fashion and Furniture program has ~1M SKUs so far and grown in CB penetration since Jan; F&B and Beauty will be set up by late May

Category	Metric	SG	MY	TH	VN	PH	TW	Overall
Fashion	**ADO**	830	5,594	11,877	9,667	12,585	386	**40,939**
	…MoM	10.80%	31.00%	61.90%	57.40%	13.50%	54.00%	**37.20%**
	ADO% of CB Fashion	2.20%	4.20%	9.20%	4.00%	5.70%	1.70%	**5.20%**
	…MoM	0.00%	0.20%	2.90%	1.00%	0.20%	0.50%	**0.80%**
	# SKU	90,729	106,127	207,676	170,041	170,360	70,348	**815,281**
	…MoM	46.20%	43.40%	97.20%	74.50%	7.80%	61.50%	**50.90%**
	PC2 %	4.60%	1.50%	1.10%	3.70%	-0.20%	8.60%	**1.40%**
	…MoM	-2.80%	1.30%	-1.30%	-0.70%	-1.70%	-2.00%	**-1.00%**
Furniture	**ADO**	576	684	1,137	30	761	Deprioritised for TW due to size	**3,188**
	…MoM	-1.50%	-2.70%	45.90%	-6.80%	9.80%		**14.20%**
	ADO% of CB Furniture	23.50%	17.20%	33.80%	2.30%	13.20%		**18.90%**
	…MoM	-1.80%	-1.30%	3.50%	-0.30%	-0.10%		**0.50%**
	# SKU	137,843	56,696	7,202	113	2,954		**204,808**
	…MoM	1.50%	-15.20%	5.20%	-1.30%	13.40%		**-3.50%**
	PC2 %	9.30%	11.30%	1.40%	2.90%	1.70%		**5.60%**
	…MoM	-3.00%	-0.40%	-1.20%	0.10%	0.20%		**-1.30%**
F&B	Specific target setting up by 23rd May							
Beauty	Specific target setting up by 23rd May							

Key Highlights

1. **Fashion:** Overall May MTD ADO 40k (37.2% MoM); ADO as %CB +0.8% MoM (%CB increase consecutively for 4th month)
   a. To continue with PC2 reinvestment plan that yielded positive result in ADO growth
2. **Furniture:** Overall Apr MTD ADO 3.2k (+14.2% MoM); ADO as of %CB +0.5% MoM
   a. To continue SKU sourcing efforts in SG/MY and start bulky integrated channel in TH/PH
3. **F&B & Beauty Tracking:** To establish similar tracking for F&B and Beauty by late May. SKU sourcing and seller acquisition will kick-start from 16th May onwards

Value of Counter-Taobao Project: Counter Taobao initiative aims to reclaim TBG overlapping user wallet share, boost Shopee ABS, and improve ROI through a stronger partner ecosystem vs. program 3 years ago

Differences* from the previous domestic seller growth project** *(内贸卖家增长计划, 2021)* ***and newly added value points:

A. reclaiming user wallet share

- Competitive landscape change: the competitive landscape for domestic sellers has shifted. While SHP's user base has grown in recent years, wallet share from users overlapping with TBG has been declining on the SHP platform

- Given the new competitive landscape, the new project will help us reclaim wallet share from TBG-overlapping users on SHP

B. optimizing ABS through TBG assortment introduction

- ABS target alignment: the core focus of the Counter Taobao project is to introduce key Taobao category assortments. These assortments typically have higher ABS compared to SHP's existing offerings, aligning well with SHP's overall goal to improve ABS

C. leveraging a more mature partnership ecosystem vs. previous project

- In previous project, despite SHP's strong willingness to invest, immature ERP and ecosystem partners resulted in high effort with limited returns

- Now with a more mature and developed partner ecosystem, SHP is expected to achieve greater results with less effort than before

Agenda

1. CN Seller Overview
2. LFF Landscape and UE Study
3. Counter TB
4. **SIP**
5. US Tariff Impact Update
6. SLS NSB Business Plan

ETA 15th May @cuiwei

Agenda

1. CN Seller Overview
2. LFF Landscape and UE Study
3. Counter TB
4. SIP
5. **US Tariff Impact Update**
6. SLS NSB Business Plan

Private & Confidential

Executive summary

- **Macro & competition: Platforms are ramping up local fulfillment and expanding beyond the US to manage the potential risk, with low-price players like Temu under more pressure, while Shein and Amazon remain relatively resilient**
  - **Mainstream platforms are accelerating to deploy local fulfillment business and diversifying to other regions to mitigate single-market risks:** Temu and TTS are actively localizing, esp. on local fulfillment. Most of platforms are exploring opportunities beyond the US market and reaching out to sellers about expanding to other regions in order to diversify the risks
  - **Business impact varies by platforms:** Low-price platforms face more pressure and are responding with localization efforts (Temu); Platforms with higher 1P share (Shein) and deep inventory buffers (Amazon) are less exposed to short-term disruptions; TTS is speeding up new sites launch to EU & LATAM, while SEA sites CIR % remain stable

- **Seller survey result: Overlap between Amazon and SHP remains limited, with 422 dual-platform sellers (~428K ADO), ~0.6% of Amazon US ADO and ~12.7% of SHP CN seller ADO. Among them, 100 Type C sellers, 133K ADO (low margin, high product-market fit) are the top priority for diversification to SHP**
  - According to seller survey, **422 sellers (~428K ADO) already have operational footprint in Amazon US**; however, **the overlap remains limited**:**~0.6%** of total Amazon US ADO and **~12.7%** of SHP total CN seller ADO
  - We categorize Amazon US sellers into 3 types by profit margin and product market fit. Among them, **type C (100 sellers with 133K ADO, low profit margin & high product market fit) sellers will be affected more by the tariff and likely consider to diversify to SEA/LATAM**
    - Type A: high profit margin sellers who will stick with US market
    - Type B: low profit margin sellers with low product market fit to SEA/LATAM will likely consider other markets, e.g., EU
    - Type C: low profit margin sellers with high product market fit to SEA/LATAM has relatively higher likelihood to diversify to SEA/LATAM
  - Amongst sellers that plan to diversify from US market, most-mentioned supports needed on SHP are resource support, logistics service optimization and RM/SAI seller support

- **Proposed action plan: We propose to provide resources & seller programs alongside RM/SAI support to Type C sellers to drive their growth by ~39%, reaching to 184k ADO in Dec 25**
  - To encourage Amazon US seller diversification to SHP, we plan to provide resources & seller programs to Type C sellers and **expect to grow them by ~39% from 133k ADO in Apr 25 to 184k ADO in Dec 25**
    - **Existing seller:** In 2025, existing sellers are projected to reach ~179K ADO with ~46K ADO uplift
    - **New seller:** In 2025, CN team expects to bring in ~123 new AMZ sellers potentially reaching ~5K ADO
  - CN team plans to **repackage and remarket existing seller programs and promote FBS services alongside additional RM/SAI support** to drive growth
    - **Better resources & program support** via repackage suitable seller programs
      - Existing short-tail sellers: increase SSP & RVP program coverage to boost short-tail sellers growth
      - Existing mid-tail sellers: roll-out new seller program to drive up mid-tail Amazon sellers migration
      - New seller: provide 3-month commission waiver to incentivize Amazon seller migration
    - **RM/SAI Seller Support:** offer RM/SAI seller support on 1) facilitate FBS service adoption 2) provide business support & guidance (e.g. suggestions on product assortment, pricing), 3) new seller recruitment and incubation(e.g. training and guidance)

US tariff status quo(updated to 13th May): US gov lowered tariff rates on CN after the Geneva agreement, but CB postal parcels are still subject to a high tariff of 54% or $100 per piece

Targeted Country	Parcel restrictions		Policy before April[1)]	Policy before Geneva agreement		Policy after Geneva agreement (updated to 13th May)	Related biz model / SKUs
CN→US	Postal parcels <$800		Tax free	De minimis revoked		Effective on 14th May **De Minimis exemption still revoked** **While the tariff rate lowered to 54% or $100 per piece, whichever is higher**	**Postal parcels<$800 ONLY** (**end-to-end** parcels via China Post to USPS)
				2nd May 120% of the value or $100 per piece, whichever is higher	1st Jun 120% of the value or $200 per piece, whichever is higher		
	Others	Postal >$800	Subject to normal tariff rate	Combined tariff rate up to 145%		**Combined rate = 37.5% to 75%**	B2B
		Any Non-postal				Reciprocal Tariff (**Decreased from 125% to 10%**) + Section 301[2)] (7.5%-25%) + Fentanyl tariff (20%) + Base tariff (0-20%)	**ALL other parcels CB direct shipping, B2B, FBA, etc.**
MX→US	Value less than $800		Tax free				Most CB parcels
	USMCA-compliant[3)]		Tax free				B2B - automotive parts
	non-USMCA-compliant		keep previous tariff rate	Effective on 10th Jul **25% of the value**			B2B - others
VN→US	Value less than $800		Tax free				Most CB parcels
	Value more than $800		10% base tariffs	Effective on 10th Jul **46% of the value**			B2B parcels

Note: 1) Original policy link; 2) Section 301 tariffs target bulk commodities in list 1&2; consumer goods like electronics, furniture, and apparel in list 3&4, full list here; 4) Imports that meet the Agreement between the United States of America, the United Mexican States, and Canada (USMCA), especially rules of origin for automobiles, are exempt from tariffs;
Source: Expert inputs, open source

Platforms response to US tariff change: Mainstream platforms are accelerating to deploy local fulfillment business and diversifying to other regions to mitigate single-market risks

Platforms	US strategy	Diversification to other regions	Overall business impact
1. Temu	**Shift focus to local** - Full-consignment: temporarily shut down - US localization: push US sellers to join US localization models including semi-consignment, Y2 model ('virtual local WH' model) and marketplace models	**Budget shifted to other global sites:** - Sharply reduced marketing investment in the US and reallocated the budget to new markets including BR and SEA	**High** - First site to build up full-consignment biz from 0 to 1 - **US as the core market with UE positive** on full-consignment: US accounts for 1/3 of its total GMV and is the only site that reached breakeven in 2024
2. TikTok Shop	**The stretched $17Bn GMV target remains**, with **additional subsidies** in US to mitigate tariff impact - **Co-fund rebate:** additional rebates targeting top sellers (similar to SHP co-fund voucher) - **Additional subsidies for inventory allocation to TTS:** additional subsidies (ads. & item rebates) for ACCU (CNLS) sellers that reserve inventory for TTS	**Accelerated new sites launch for EU & LATAM** (e.g., BR launch originally planned for 2H'25 and moved earlier to May)	**High** - Impact is high, due to **TTS US high CN seller share % (~45% of ADG**, including CNLS, CB MP, and Consignment) - **TTS US ADG dropped by -17% in April, driven by TTS US CN seller ADG droppe of -25%**, with more drops from Consignment and CB MP (-22% & -38% respectively) and less for CNLS (-8%)
3. Shein	**Ongoingly develop global fulfillment/ local mfg.:** - Directly passes tariff costs to consumers - Continue to transfer CN supply chain to global that ~20% of CN production would be relocated overseas - Extensively build up local warehouse in VN and BR	**N/A**	**Medium** - High 1P share: B2B and local warehouse enable lower tariff rates - Early prep of compliance: implemented early compliance measures, allowing it to swiftly adapt to policy changes
4. Amazon	**Passive but flexible on smoothening tariff impact:** - Maintained deep FBA inventory, allowing it to absorb possible fluctuations in tariff policy - Relaxed its strict price controls, allowing sellers to raise prices by up to 25% without penalties	**Both Amazon and Amazon sellers are actively exploring opportunities in new markets:** - Check seller's' interest pf selling in other markets - Sellers consider shifting business focus to EU, LATAM & SEA	**Low in short-term, medium in long-term** - In short term deep FBA inventory supported by 1P forward buying and early inbound from 3P sellers - In long term, Amazon's large share of low-margin products makes its product prices more sensitive to tariff changes, despite some flexibility from price changes of the smaller share of high-margin items

Sources: Expert inputs, seller interviews and open source

1. Temu US tariff response: Temu has temporarily halted full-consignment in the US, meanwhile Temu is also keep pursuing US localization movement and global expansion

Temu's attitude towards US tariff issue

The tariff increase has exceeded Temu's expectations. As a result, while continuing its existing strategy of expanding local operations and exploring new markets, Temu has temporarily shut down the full-consignment model and is closely monitoring further US tariff policy developments.

US Strategies

US Full-consignment
Temporarily shut down

- Starting 3rd May, Temu has stopped shipping products directly from China to US shoppers and marked all full-consignment items as "out of stock"
- Temu will consider resuming full-consignment operations only when tariffs are reduced to below 30%

CNBC MARKETS BUSINESS INVESTING TECH POLITICS VIDEO INVESTING CLUB PRO LIVESTREAM

TECH

Temu halts shipping direct from China as de minimis tariff loophole is cut off

PUBLISHED FRI, MAY 2 2025-2:42 PM EDT | UPDATED FRI, MAY 2 2025-4:42 PM EDT

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KEY POINTS

- Temu said it has stopped shipping products from China directly to U.S. shoppers as it confronts higher tariffs and the end of the de minimis provision.
- Items shipped directly from China, which previously blanketed the site, are now labeled as out of stock.
- Earlier this week, Temu increased prices and added "import charges" ranging from 130% to 150% on products shipped direct from China.

US localization
Push sellers further toward semi-consignment

Semi-consignment

- push sellers to shift from full-consignment to semi-consignment

  →***semi-consignment***: leading top bestsellers and hot sellers (top 20-30% full-consignment SKUs)

  →***Y2 model***: newly launched, as a variation of the semi-consignment using 'virtual shipment', targeting mid-to-long-tail differentiated SKUs (mid 20-30% full-consignment SKUs) ***(details in the next page)***

Marketplace

- Ongoingly recruiting sellers to mitigate the termination of FC model. But MP model seller onboarding progress has been slower-than-expected over the past months

Site focus changes

Global expansion
US marketing budget cut to 1/10 of previous
Global focus shift to EU, LATAM, SEA

- Temu has sharply reduced marketing investment in the US to **1/10 of previous level**, with downloads dropping significantly since Apr
- The company is strategically re-allocating its US marketing budget to other emerging markets like EU, LATAM and SEA

New Downloads	US	EU top 5[2)]	BR	PH
1st Mar	113,537	125,830	245,201	26,907
1st Apr	95,847	89,583	183,998	55,133
1st May	32,423	97,724	301,032	72,964
11th May	29,892	157,726	411,539	72,761
Change rate%[3)]	**-74%**	**+25%**	**+68%**	**+170%**

Temu US new downloads# has been dropped since Apr, EU, BR and PH downloads increased instead

Note: 1) The Y2 model is a variation of the semi-consignment model; in contrast, the Y1 model refers to Temu's traditional semi-consignment approach; 2) EU top 5 developed countries, France, Germany, Italy, Spain, UK 3) change rate 11th May vs. 1st Mar
Source: Expert inputs; data.ai; open source

1. Temu Y2 model: To mitigate impacts of full-consignment offline and maintain sufficient local assortment, Temu launched Y2 model, using "virtual fulfillment" to transfer compliance risks onto sellers

Y2 model background:

Temu's primary concern lies in maintaining sufficient local SKU availability in the US after the shut down of full-consignment model, while semi-consignment sellers—due to concerns of blackstock—maintain inventory depths of only 15-20 days. Temu launched Y2 model, using “virtual fulfillment” approch to resolve the local inventory gap in the US market

Y2 model Basic info

Launch time

Apr 27, 2025

Applicable Scope

SKU focus

mid-to-long-tail SKUs that are not available in Temu local warehouse

Seller focus

previous full-consignment sellers

Value prop

- **Temu:** enhance assortment depth after the tariff changes
- **Seller:** enable testing of new and long-tail SKUs that have not been listed on Temu

Y2 model logistics flow introduction

- Under Y2 model, sellers store inventory in CN WH, rather than US WH
- After order placement, sellers ship goods to US transit warehouses within 9 business days, where parcels are then labeled and dispatched **to appear as local warehouse shipments**

Seller

Seller stock in sellers’ own **CN** warehouse → Air freight from CN (after order placed) → bulk declaration with other parcels (by 3PL provider) → Sent to US transit WH for label printing, **creating the ‘local fulfillment’ image** → Parcel delivered to customer

Front-end displays “local warehouse, In Preparation”

If customs clearance fails → The seller **reships another parcel** from CN WH, still meeting the 14-day delivery window

Temu

Temu takes in charge of **no logistics responsibility** - all shipping operations and risks fall entirely on sellers

Source: Expert inputs, open source

1. Temu US tariff response: The high line haul cost and longer delivery times limit the Y2 model use to only testing new products; we believe the model provides limited support to the local SKU pool

Temu Y2 model impact

Y2 model restraints	*vs Semi-consignment*
⊗ Longer logistics fulfillment cycle • Inbound logistics (preparation): 9D • Last-mile delivery: 5D • Total fulfillment cycle: 14D	• Total fulfillment cycle for semi-consignment: 3-5D
⊗ Higher shipping costs • Air freight	• Sea freight, with lower line-haul shipping cost
⊗ Higher seller risk exposure • Customs clearance delays • Platform risk management	• No false shipment risk exposure

Limited impact for Y2 models

- Temu's Y2 model has received negative responses from the sellers, with most sellers reluctant to participate

The recommended declared value fails to cover logistics costs, with shipping fees exceeding the product's value.
——Y2 model Seller"

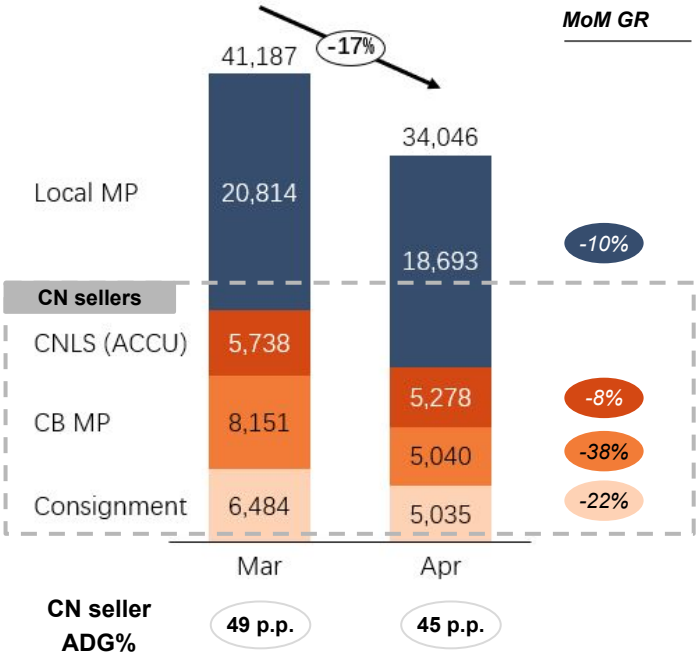
- For successful Y2 model SKUs, Temu advises sellers to switch to the semi-consignment model, further narrowing the role of Y2

Source: Expert inputs, open source

2. TTS US tariff response: although the tariff hits TTS US hard with -17% ADG MoM drop in April, TTS remains committed to US market and is accelerating new sites launch in EU & LATAM to diversify

TTS US experienced steep decline in April, driven by CN seller, which sees ADG penetration drop by 4 p.p.

TTS US ADG performance by seller type (Unit: k USD)



Even with the steep decline, TTS does not plan to give up on US market, but is accelerating diversification through earlier new sites launch than plan

	Strategic direction	Actions
US	• **Aggressive GMV target (~$23Bn) remains unchanged,** due to TTS strategic thinking of US as single big market with high profitability potential	Launched additional rebate/seller incentive programs to support CN sellers • **Co-fund rebates** to top 15% GMV sellers in each categories (similar to SHP co-fund voucher) • **Inventory incentive plans for ACCU (CNLS) sellers** (additional ads rebate for sellers with >2 months inventory in TTS US)
SEA	• **Remains unaffected, with no significant CIR % change in SEA sites** (e.g., CIR% YoY uplift April 2.8 p.p. vs. March 3.7 p.p., showing no increase in SEA investments)	• **TTS CIR%[1] in SEA remains stable**
New sites launch	• **Moved new sites launch schedule earlier** to accelerates business diversifications	• **EU:** Consignment model launch has been brought forward by ~1 month earlier (April vs. scheduled May) • **BR:** BR full launch was scheduled for 2H'25, but actually launched in May

CIR %	Mar'24	Mar'25	YoY uplift_ Mar'25 vs 24	Apr'24	Apr'25	YoY uplift_ Apr'25 vs 24	Diff
SEA total	**18.5%**	**22.2%**	**3.7 p.p.**	**19.3%**	**22.2%**	**2.9 p.p.**	**-0.9 p.p.**
ID	21.8%	30.0%	8.2 p.p.	22.7%	29.2%	6.5 p.p.	-1.7 p.p.
SG	4.6%	5.3%	0.7 p.p.	5.8%	6.5%	0.7 p.p.	0.0 p.p.
MY	9.3%	13.8%	4.5 p.p.	10.8%	14.2%	3.4 p.p.	-1.1 p.p.
TH	18.8%	18.3%	-0.5 p.p.	19.4%	19.8%	0.4 p.p.	0.9 p.p.
VN	20.6%	22.0%	1.4 p.p.	22.0%	23.9%	1.9 p.p.	0.5 p.p.
PH	18.2%	19.4%	1.2 p.p.	17.7%	18.7%	1.0 p.p.	-0.2 p.p.

1. CIR% are raw data from TTS intel, to be aligned with local CI teams

Source: expert call, press search, team analysis

Amazon seller survey : Given large Amazon CN seller base, we surveyed SHP CN sellers and identified 422 sellers ~428K ADO already operating on Amazon US but overlap remains limited: 0.6% of Amazon US ADO, 12.7% of SHP CN seller ADO

Amazon seller survey results, ADO as of April

	Total		UST	Fashion	Electronics	Lifestyle	FMCG	MT/LT
	Seller number	ADO	ADO	ADO	ADO	ADO	ADO	ADO
Total #/ ADO of sellers on Amazon US	**422**	**427,895** 1	**202,149**	**18,795**	**69,430**	**61,290**	**64,641**	**11,589**
- CNCB MP	422	330,907	198,712	12,882	43,680	28,596	36,499	10,537
- CNLS	422	96,989	3,437	5,913	25,750	32,694	28,142	1,052

Seller Overlapping landscape, by ADO

	Total		UST	Fashion	Electronics	Lifestyle	FMCG	MT/LT
	ADO	ADO Overlap %	Overlap %	Overlap %	Overlap %	Overlap %	Overlap %	Overlap %
Total SHP CN Sellers	**3,374,886**	**12.7%** 2	**31.0%**	**4.7%**	**15.2%**	**10.8%**	**14.1%**	**1.4%** 2a
- CNCB MP	2,191,253	15.1%	54.3%	4.6%	17.4%	11.4%	16.8%	1.3%
- CNLS	1,183,633	8.6%	1.2%	4.9%	12.6%	10.3%	11.6%	8.2%
Total Amazon US **	**59,228,900**	**0.6%** 2	/					

Key Highlights

1 Given large Amazon CN seller base, we surveyed SHP CN sellers and **identified 422 sellers, ~428K ADO, already have operating footprint on Amazon US**

2 **Overlap between the two platforms remains limited: ~ 0.6%** of total Amazon US ADO and **~12.7%** of SHP total CN seller ADO

2a By team, UST has the highest SHP overlap ratio(~31% SHP ADO%), aligning with their seller profile of mass listing across multiple platforms. In contrast, ST shows lower overall overlap, as their sellers target different markets and do not list broadly across all platforms

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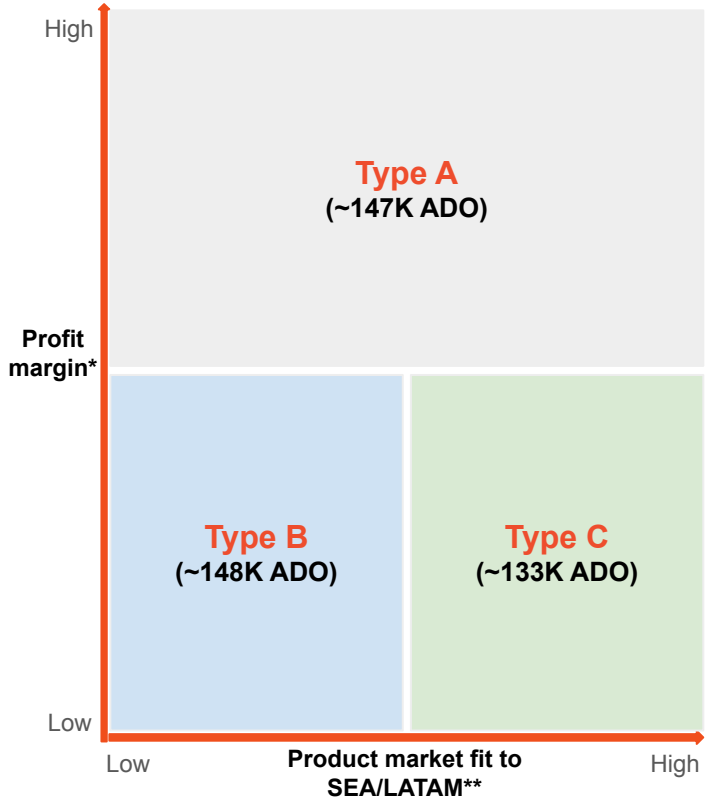
Note: (*) ADO includes both CNLS and CNCB MP sellers (**) Total AMZ US ADO is actual AMZ US ADO # in Feb 25. AMZ ADO remains relatively stable (***) Sellers that have not responded are highly likely not on Amazon US, as survey has been sent out for 1 month already with close RM push

Amazon seller survey: we categorize Amazon US sellers into 3 types. Low profit margin sellers will take hit harder by the tariff and likely diversify to other markets, e.g. EU, SEA, based on product market fit

3 types of Amazon US sellers



	Description	US tariff impact	SHP CN seller distribution
Type A	Sell **high margin products** with low product COGS	**Low**; Tariff is added on FOB price; **price incremental is manageable** With low impact, **sellers will stick with US market**	131 sellers; ~147k ADO ~1.4 Mn ADG
Type B	Sell **products with low margin and localized for US consumers**, e.g., customized, local product certifications	**High**; **Tariff impact high due to COGS high proportion to price** Due to low product market fit to SEA/LATAM, sellers **likely consider limited # developed markets**, e.g., Europe	191 sellers; ~148k ADO ~1.1 Mn ADG
Type C	Sell **low margin products** that are also **universally fit to markets in SEA & LATAM**	**High**; **Tariff impact high due to COGS high proportion to price** With good product market fit, **sellers would possibly consider diversify to SEA/LATAM**	100 sellers; ~133k ADO ~696k ADG

Top prioritized sellers

Note: (*) Profit margin is determined by seller main categories, e.g., example categories with high profit margin like mom & baby, pets, health, bags, etc., 14 categories in total;
(**) Product market fit to SEA/LATAM is determined by a) seller Amazon US ASP <= $20 b) seller indication in seller survey of whether they already have fitted assortment for SEA & LATAM

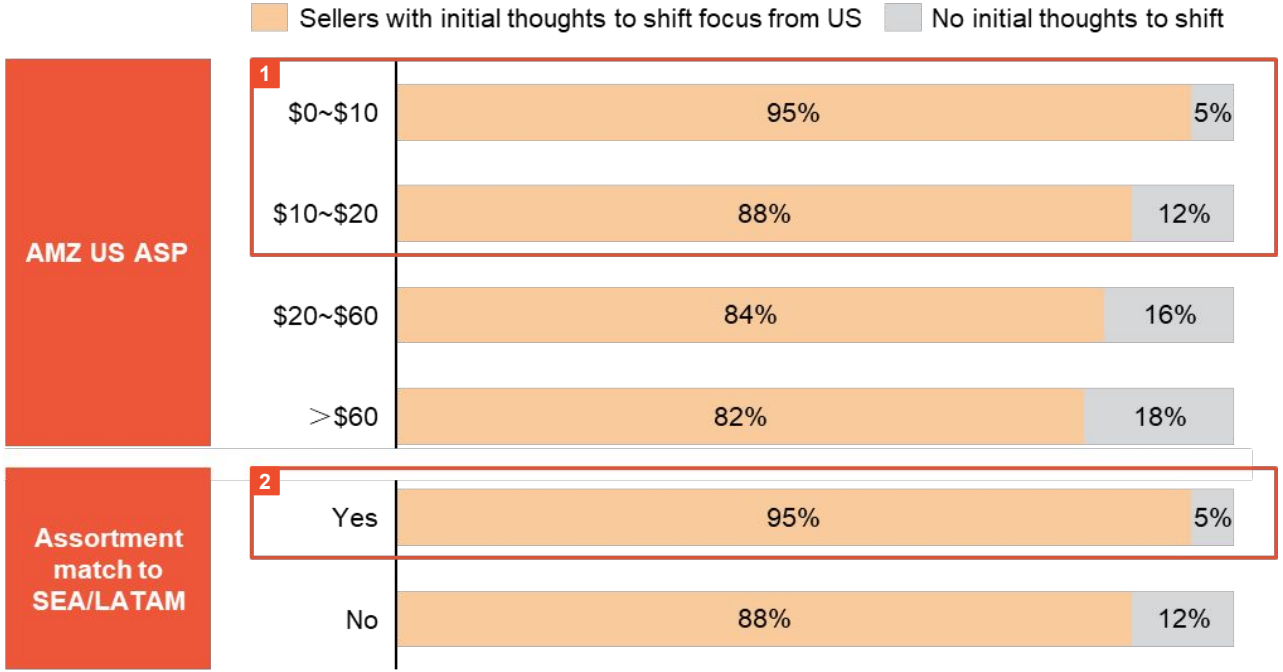
Amazon seller survey: we have verified the seller categorization principle (type A/B/C) through seller roundtable and interviews

		Type A (high margin)		Type B (low margin, low product market fit)		Type C (low margin, high product market fit)	
Seller Profile	Seller	深圳宠乐园科技		深圳金霸科技		深圳四海芯舟	
	Platform	SHP	Amazon US	SHP	Amazon US	SHP	Amazon US
	ADO	ADO: 31	ADO: 3.5K	ADO:178	ADO: ~1K	ADO: 5.4K	ADO: 2K
	ASP	$10-$15	$10-$15	$30-$40	$40-$60	$5-$10	$15-$20
	Top category	Pet supplies	Pet supplies	Lighting tools	Lighting tools	Hardware tools *	Hardware tools
Willingness to diversify to other markets		Low Still mainly focus on US		Medium Mainly focus on US market and consider diversify to EU		High Consider to diversify to SEA, with SKUs fitted for SEA	
Seller rationale		• **Not willing to sacrifice margin for lower-end market** – Sells pet supplies of high quality (profit >35% in US) – **Not willing to invest more for lower end market**, partially due to policy low impact to seller *"我们公司在亚马逊上利润挺好的，关税对我们的影响不大，去东南亚做利润太低了，我们目前也只是拿美国已有的货盘顺便卖东南亚"*		• **Products selling in US not fit for SEA market** – **Market entry blocker:** existing US market products can't meet the listing requirements for built-in battery capacity in SEA (e.g., SEA lighting tool battery capacity requirements different than US) – **Localized for US market consumer needs:** advanced function (e.g., SOS emergency lighting signal for outdoor) *"我们美国产品走专业路线，需要开发专门的内置程序，不适合东南亚，并且为了东南亚的基础照明需求做产品改款改动挺大的"*		• **US tariff policy has high impact on the seller due to its low margin** – Sells hardware tools with basic functionalities • **Plans to double down in SEA** – Targets to improve SHP ADG 5x from current ~52k USD to $255k USD *"美国关税还是挺影响利润，而且关税不断加码也让我们意识到鸡蛋不能放一个篮子里，目前打算通过东南亚和俄罗斯去导增量，货盘迁移也比较容易，我们已经投了几千万的库存"*	

Note: (*) Hardware tools include meter transistor, heat sink, temp control, power converter, etc.

Back up -Amazon seller survey: 2 key factors affecting seller willingness to diversify from US - ASP and assortment match; Sellers with lower Amazon US ASP and assortment match are more willing to diversify to SEA/LATAM

For sellers already on Amazon US:
Question 1: Due to the recent US tariff policy, have you thought of diversifying focus from US to SEA/LATAM?
Question 2: What's the ASP of your Amazon shop in US?
Question 3: Are there any products in your Amazon US shop suitable for sale in SEA/ LATAM?



Key Highlights

1. **Amazon US sellers with lower ASP tend to consider more to diversify to SEA/LATAM** (e.g., 95% of sellers with ASP < $10 have thought of shifting business focus to SEA/LATAM vs. only 82% for sellers with ASP >$60), likely due to **price appeal to lower-income consumers** in developing markets
2. Amazon US sellers with **matched assortment for SEA/LATAM** are more likely to consider shifting to SEA/LATAM, due to **lower barrier / high feasibility**

Amazon seller survey: Amongst sellers that plan to diversify from US market, most-mentioned SHP supports needed are resource support (~80%), logistics service optimization (~50%), and RM/SAI seller support (~30%)

Question: *If you plan to invest in markets outside US, what supports do you need from Shopee?(multiple choice)*

	Description	% of sellers	Example seller comments
Resources support	• **Provide more resource supports** (e.g., CFS slots, commission waiver)	~80%	1 *"对我们这样的品牌卖家, 希望平台能够有更多**流量的扶持**, 或者有**专门的一些坑位、活动资源**"* 赛施CEO, 徐毅 *"希望平台在运营上给予更多的**流量支持和一些 资源位**, 让我们有更多曝光"* 阳江市皓盈贸易
Logistics service optimization	• **Improve FBS service** (e.g., allowing FBS inbound requests from 3PF WHs) • **Optimize last-mile service for bulky products** (e.g., damage, slow pickup)	~50%	*"我们在东南亚市场倾向于先把货放到三方海外仓, 卖的好的精品产品可以挪到虾皮官方仓, 希望未来可以**从三方仓直接调拨到官方仓** (现在只能从中国发到官方仓)"* 引力波CEO, 徐飞 *"在**大件的运输保护**上可以做的更好一些, 我们已经用海绵包装严实但还是存在一些破损的情况"* 深圳市星联成科技
RM seller support	• Provide SEA & LATAM **category & product selection insights on SHP** • Help with **mall entry** (e.g., speed up mall approval process, unify mall requirements across sites)	~30%	*"我们公司之前的重心在美国亚马逊市场, 希望SHP可以**在东南亚市场的选品和定价上给予我们更多的帮助和引导**, 毕竟两个市场的用户消费能力和需求还是有很大的差异"* 深圳海美佳科技 *"最近泰国和菲律宾站点在申请入Mall, 希望可以**加快入Mall的审核**"* 深圳吾道子

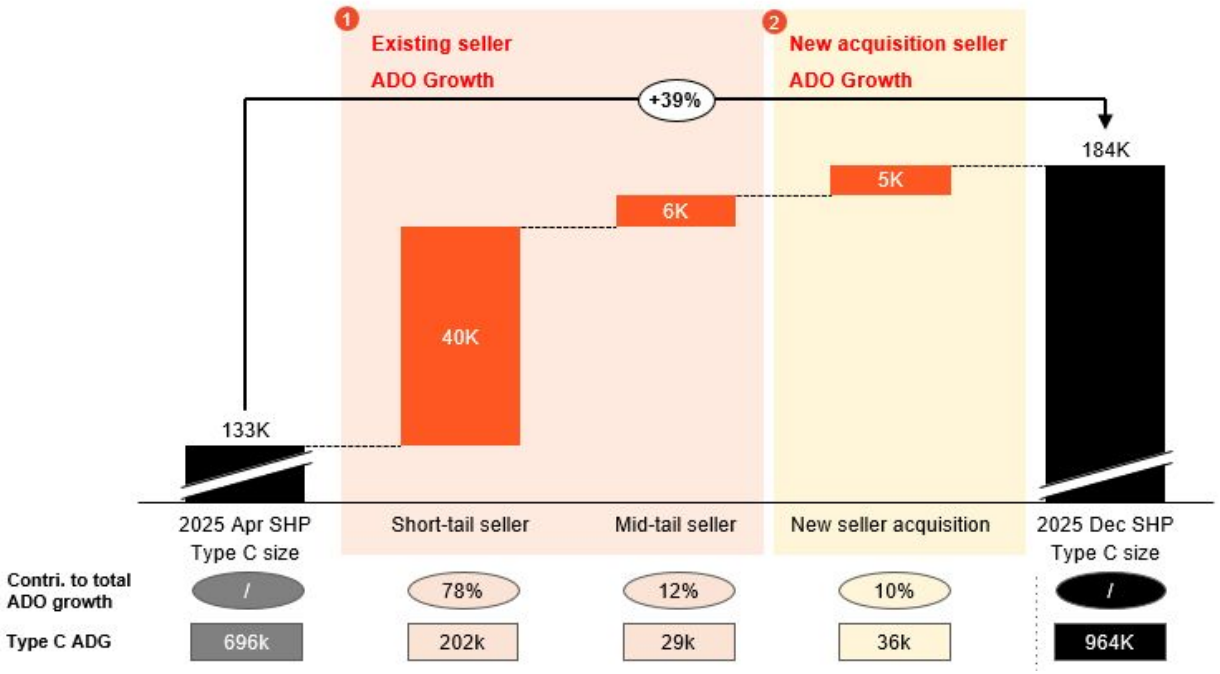
Key Highlights

1. Out of the 3 buckets of supports needed from Amazon US sellers, **the most mentioned need is resource support** (**80% of sellers who plan to shift focus beyond US mentioned** resource as a key help needed from SHP, to expand in SEA & LATAM)

- **We plan to support Type C seller growth** (low margin & good product market fit to SEA & LATAM) **with seller programs** (to expand discussion next page)

SHP Growth Projection: To encourage Amazon US seller diversification to SHP, we plan to provide resources & support to Type C sellers and expect to grow them by ~39% from 133k ADO in Apr 25 to 184k ADO in Dec 25

2025 SHP & Amazon dual-channel type C seller ADO, and contribution of seller type[1]



1. 2025 SHP CNCB target & growth rate is based on Apr. forecast from the CB FPA

Key Insights

- **In 2025, CN will drive Amazon US seller diversification to SHP through seller programs & initiatives, pushing up 39% SHP top line growth**
  1. **Existing seller (90%, + 46K ADO uplift):**
     - Short-tail seller (78%, + 40K ADO uplift): Expand coverage of SSP and FBS RVP programs to jointly drive seller growth
     - Mid-tail seller (12%, + 6K ADO uplift): Roll out a new program to incentivize seller shift more focus to SHP
  2. **New acquisition seller (10%, + 5K ADO uplift):**
     - New acquisition seller: Dedicated SAI push plus 3 months commission waiver to drive Amazon seller acquisition
- RM would also continue to push on better **new product assortment,** and **promoting FBS service** to help drive growth

[Appendix] Methodology: Seller growth forecast are estimated based on historical trend, CNCB & platform 2025 forecast and estimated additional growth brought by CN 2025 program & initiatives

Key Insights

- **In 2024, Amazon & SHP dual-channel type C seller grew on par with CNCB MP** (ADO +24.9% vs +23.5%), given most top sellers being also the focus of Amazon platform drive
- **By Dec 2025, Type C seller would reach 184K ADO, slightly outgrow CNCB & platform** (ADO +38.5% vs +29.9% vs. 24.1%), thanks to CN programs & initiatives and SAI push
  - (A) Short-tail seller: Expand SSP and RVP programs to cover all sellers, with short-tail sellers expected to achieve stronger growth (ADO +34.8%)
  - (B) Mid-tail seller: Roll-out new program and enhance RM support, with mid-tail sellers expected to maintain a growth trend on par with that of CNCB MP (ADO +33.1%)
  - (C) New acquisition seller: Provide 3 months cms waiver and stronger SAI push, with new acquisition seller from Amazon expected to contribute ADO +5K by 2025 Dec

		2024 Historical		2025 Forecast		ADO Growth %		Key assumption
		2024 Apr	2024 Dec	2025 Apr	2025 Dec	Dec 24 vs. Apr 24	Dec 25 vs. Apr 25	
Type C	**SHP ADO**	**116,703**	145,786	132,507	183,569	+24.9%	+38.5%	/
	Existing seller	116,703	145,786	132,497	178,260	+24.9%	+34.5%	/
	- Short-tail seller	103,667	129,239	114,764	154,651	+24.7%	+34.8%	2025 growth is projected to slightly outpace CNCB MP & platform (35% vs. 30% vs. 24%), driven by the expansion of SSP and RVP program coverage from ~85% in 2024 to 100% coverage in 2025
	- Mid-tail seller	13,036	16,547	17,733	23,608	+26.9%	+33.1%	2025 growth is expected to remain on par with CNCB MP (+33% vs. +30%), supported by new seller program and strengthened RM support
	New seller acquisition	/	/	10	5,310	/	/	~14 projected Amazon US seller acquisition / month, with year-end ADO estimation based on growth trajectory of past acquired new sellers
CNCB MP	**SHP ADO**	**2,164,215**	2,673,445	2,191,253	2,846,760	+23.5%	+29.9%	/
Platform	**SHP ADO**	**23,800,023**	30,843,607	29,919,904	37,139,787	+29.6%	+24.1%	/

SHP action plan: We plan to provide resources and program support for type C sellers, and will need RM/SAI seller support to jointly drive Amazon seller growth and investment

Programs / Actions	Existing seller	New seller
Resources & Program Support	**Short-tail sellers:** **expand SSP, FBS RVP seller programs coverage*** to include all Amazon type c short-tail sellers **Mid-tail sellers:** propose to **launch a new seller program** to incentivize mid-tail Amazon sellers	*Deep-dive* **New sellers:** propose to provide **commission waiver for three months** for new Amazon seller**
RM/SAI Seller Support	**FBS pitch:** push for existing Amazon seller to adopt FBS service and help fasten FBS application process **Business Support & guidance:** provide support on product assortment, pricing adjustment, mall on-boarding etc. to help drive growth	**New seller recruitment:** dedicated recruitment of new Amazon sellers through new seller recruitment team **Seller incubation:** provide training and guidance on commercial and operational aspects to ensure a smooth landing for new sellers

Note: *Current SSP coverage of Type C seller is 78% by ADO in Mar'25, FBS RVP coverage is 3% by ADO in Mar''25
**Commission waiver for all cb sellers in the first three month is not effective yet but in progress

[Appendix] Resources & Program Support: Primarily repackage existing seller programs to address the diverse needs of different seller types

Seller type	Objectives	Resources	SHP Commitment	Seller Commitment
Short-tail sellers	Drive **top sellers' growth and strengthen seller commitment** with dedicated resources	**SSP program**	**Commission waiver / cash rebate / PRM rebate:** 1-2% of GMV or NMV for sellers meeting GMV / investment / price comp targets	• ADG targets by site • Proactive take rate% by site • Price comp by site
		FBS RVP Program	**Commission & paid ads rebate:** 1%-2% commission rebate and 10%-30% ads net spending rebate	• ADO targets by site
			Traffic & PRM support: CFS slots & prioritized LFF campaign slots	• Paid ads investment by site
Mid-tail sellers	Incentivize **high potential Amazon sellers** to increase investment and drive growth	**New seller program***	**New listing ads rebate:** ads credit reward per seller per new listings **ADG ads rebate:** ads rebate reward varying by the tier of ADG/ADO milestone achieved **Traffic exposure:** CFS slots	• Seller investment • SHP assortment • Top line target
New seller acquisition	**Attract new seller to launch shop** and help new sellers ramp up	**Commission waiver****	**Commission waiver:** for the first 3 months	• Onboard and open new shop

Note: * Proposal stage, detailed program mechanism design is needed, incl. program budget
**Commission waiver for the first three month is not effective yet, but in progress

Agenda

1. CN Seller Overview
2. LFF Landscape and UE Study
3. Counter TB
4. SIP
5. US Tariff Impact Update
6. **SLS NSB Business Plan**

Executive Summary

Key Findings:

- CB B2C eCommerce from CN to SEA+TW (excl. ID) is a $17.3 Bn business, while it heavily relies on marketplaces with **non-marketplace's contribution est. at 12%**
- With non-marketplaces as our key focus, SLS non-Shopee business (NBS) addressable market is estimated at **490K ADO** (incl. 168K ADO from SHEIN)
- We have 2 main customer segments, of which **Brands.coms (incl. SHEIN)** overweighting Social Sellers **should be our key focus**
- **Price competitiveness is SLS NBS' key selling point** - our rate card is proven Pending than main competitors (e.g. DHL, Yanwen, YunExpress)
- We **prioritized 20+ top Brands.com for SLS NBS pitching** while closely following up with SHEIN with discounted rate card offered (5% vs SHP normal MP sellers), aiming to schedule a meeting in 19 May week
- We are working on product in parallel - est. 2 months are required for feature development

CB B2C eCommerce from CN to SEA+TW heavily relies on marketplaces, with non-marketplaces' contribution est. at 12%

Est. Full Year GMV of B2C eCommerce in SEA+TW (Excl. ID, in USD, 2024)

		Total GMV (in USD Bn)	ADGMV (in USD Mn)	Contri % to Total CB B2C from CN
	B2C eCommerce in SEA+TW (Excl. ID)	**$120.6**	**$329.4**	**-**
1	**CB B2C eCommerce from CN to SEA+TW (Excl. ID)**	**$17.3**	**$47.2**	**100%**
	Marketplaces	**$15.1**	**$41.3**	**88%**
	Shopee	$5.3	$14.6	31%
	Lazada	$1.6	$4.4	9%
	TTS	$1.9	$5.1	11%
	Temu	$0.3	$0.9	2%
	TBG	$6.0	$16.3	35%
	Non-Marketplaces	**$2.2**	**$5.9**	**12%**
	SHEIN	$1.1	$2.9	6%
2	Others (e.g. Brands.com, Social Sellers)	$1.1	$3.0	6%

SLS NSB Addressable Market

Data Source:
e-Conomy SEA 2024 report (Google, Temasek, Bain & Company), Shopee internal data, expert interview

Highlights

1. **CB B2C eCommerce from CN to SEA+TW (excl. ID) is estimated to be a US$17.3 Bn business**, contributing to ~14% of total SEA eCommerce GMV

2. **CB B2C eCommerce from CN to SEA+TW heavily relies on marketplaces** with non-platforms' GMV share estimated at 12% ($2.2Bn) as SLS' non-Shopee business (NSB) addressable market

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[Backup] Brands.com's single-digit GMV share can be validated via key players' annual reports

Listed Companies' B2C e-Commerce Sales by Channel & Region (2023)

Listed Company		Anker Innovations 安克创新	Sailvan Times 赛维时代	Ziel Home 致欧科技	Zibuyu 子不语	Popmart 泡泡玛特	SH-ABC 星徽股份	Selected Company* Total
Focus Clusters		Electronics	Fashion	Lifestyle	Fashion	Lifestyle	EL, Lifestyle	-
CB B2C e-Commerce GMV (in US$ Mn)		$1,647	$889	$686	$462	$202	$79	**$3,965**
GMV by Channel	**Marketplaces** (e.g. SHP, LZD, AMZ)	90%	97%	88%	98%	63%	91%	**94%**
	Non-Marketplaces (e.g. Brands.com, excluding SHEIN)	10%	3%	3%	1%	37%	9%	**6%****
GMV by Region	EU & US	71%	100%	99%	98%	25%	63%	**83%**
	SEA	8%	0%	1%	2%	47%	-	**6%**
	Others (e.g. Middle East)	20%	0%	1%	0%	27%	37%	**11%**
Est. Brand.com Sales in SEA (in US$ Mn)		**$14**	**$0**	**$0**	**$0**	**$35**	**-**	**$49**

Data Source:
Respective companies' annual report (2023)

Notes:
**Listed companies e.g. Ugreen (绿联科技) and Huakai Yibai (华凯易佰) are excluded primarily because their sales are almost entirely platform-based, with minimal presence on non-platforms*
***exclude Popmart as an outlier*

SLS NSB's addressable market is hence estimated at 490K ADO, of which 168K are from SHEIN

Est. Full Year Orders of B2C eCommerce in SEA+TW (Excl. ID, 2024)

	Total Orders (in Mn)	ADO (in K)	Contri % to Total CB B2C from CN
CB B2C eCommerce from CN to SEA+TW (Excl. ID)	**1,885**	**5,151**	**100%**
Marketplaces	**1,706**	**4,660**	**90%**
Shopee	850	2,322	45%
Lazada	213	583	11%
TTS	427	1,167	23%
Temu	40	108	2%
TBG	176	480	9%
Non-marketplaces	**179**	**490**	**10%**
SHEIN	62	168	3%
Others (e.g. Brands.com, Social Sellers)	118	322	6%

1 2

SLS NSB Addressable Market

Data Source:
e-Conomy SEA 2024 report (Google, Temasek, Bain & Company), Shopee internal data, expert interview

Highlights

1 **SLS now serves 2.3Mn ADO from Shopee,** with 45% market share dominance in CB B2C eCommerce from CN to SEA+TW

2 **SLS NSB' addressable market ADO is estimated at 490K,** of which 168K are from SHEIN and 322K from others (e.g. brands.com)

Private & Confidential

[Backup] SLS NSB addressable market (490K ADO) distribution by site

Est. ADO of CB B2C eCommerce from CN to SEA+TW (Excl. ID, in K, 2024)

	SEA (excl. ID)	SEA (excl. ID) by Site					
	Total	SG	MY	PH	VN	TH	TW
CB B2C eCommerce from CN to SEA+TW (Excl. ID)	**5,151**	**219**	**879**	**1,558**	**1,067**	**1,154**	**273**
Marketplaces	**4,660**	**190**	**809**	**1,360**	**994**	**1,052**	**256**
Shopee	2,322	113	347	679	720	405	57
Lazada	583	38	106	215	24	200	-
TTS	1,167	16	241	371	179	359	-
Temu	108	-	26	58	1	23	-
TBG	480	23	89	36	69	65	198
Non-marketplaces	**490**	**28**	**70**	**199**	**73**	**103**	**17**
SHEIN	168	15	15	101	6	30	-
Others (e.g. Brands.com, Social Sellers)	322	14	55	97	67	72	17

Est. ADGMV of CB B2C eCommerce from CN to SEA+TW (Excl. ID, in US$K, 2024)

	SEA (excl. ID)	SEA (excl. ID) by Site					
	Total	SG	MY	PH	VN	TH	TW
CB B2C eCommerce from CN to SEA+TW (Excl. ID)	**$47,246**	**$3,859**	**$9,013**	**$10,999**	**$5,637**	**$9,631**	**$8,144**
Marketplaces	**$41,345**	**$3,180**	**$8,100**	**$8,852**	**$5,152**	**$8,425**	**$7,635**
Shopee	$14,612	$1,257	$2,746	$4,019	$2,555	$2,940	$1,096
Lazada	$4,399	$568	$473	$1,880	$109	$1,369	$0
TTS	$5,079	$235	$1,180	$1,407	$631	$1,626	$0
Temu	$907	$0	$213	$454	$8	$232	$0
TBG	$16,348	$1,120	$3,488	$1,093	$1,849	$2,259	$6,539
Non-marketplaces	**$5,901**	**$678**	**$913**	**$2,146**	**$448**	**$1,206**	**$509**
SHEIN	$2,948	$437	$350	$1,459	$98	$604	$0
Others (e.g. Brands.com, Social Sellers)	$2,953	$241	$563	$687	$350	$602	$509

SLS NSB's addressable market is split into 2 segments, with Brands.com (e.g. SHEIN) as our main focus taking ~70% share

Potential Customers of SLS NSB Addressable Market (Non-Marketplaces)

Customer Segments	Examples	Market Size	Acquisition Channel	Main Competitors
Brands.com	SHEIN, POP MART, dji, CASETiFY	**ADO 340K (~70%, incl. SHEIN 168K)**	Regional brand partnerships, CNCB BD and Shopify collaborations	• DHL, 4PX, YunExpress, Yanwen, SF Express
			Main Focus	
Social Sellers (via Facebook, Whatsapp, Wechat)	facebook	**ADO 150K (~30%)**	CNCB BD	

Data Source:
Similarweb, Semrush, expert interview, company annual reports, desk research

Price competitiveness will be our unique selling point - Our rate card is proven ~xx% cheaper than main competitors (e.g. DHL, Yanwen, YunExpress)

Key Markets	Addressable Market	Rate Card				Shipping Fee Example (e.g. 200g T-shirt, in USD)			
		SLS	DHL	Yanwen	YunExpress	SLS	DHL	Yanwen	YunExpress
PH	**ADO 199K** (41% of Total)	Standard International (标准渠道 - 内地) 起重: Zone A: ≤50g: 63PHP Zone B/C/D: ≤50g: 63PHP 续重: >50g: 4.5PHP / 10g							
TH	**ADO: 103K** (21% of Total)	Standard International Delivery (标准渠道) 起重: Zone A: ≤10g: 24 THB Zone B: ≤10g: 37 THB Zone C: ≤10g: 80 THB 续重: >10g: 1 THB / 10g							
VN	**73K** (15% of Total)	Standard International (标准渠道) 起重: xx 续重: xx							

- WIP

We prioritized 20 Brands.com for SLS NSB pitching, while progressing SHEIN discussions with discounted rate card offered. Aiming to schedule a meeting with SHEIN in 19 May week

Prioritized Brands.com for SLS NSB Pitching

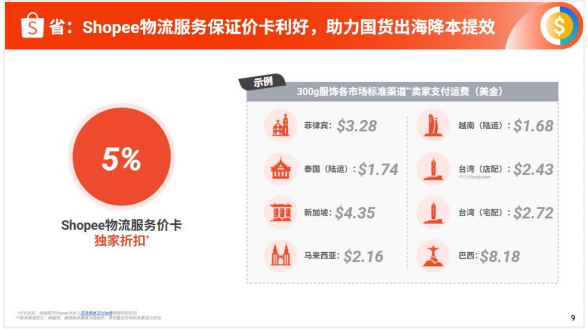
No.*	Brands.com	Focus Cluster	Est. Addressable ADO	Current 3PLs	Pitching Progress
1	shein.com	Fashion	***168K***	Not disclosed	Pitching deck sent on 10 May with discounted rate card (5% off vs SHP normal MP sellers) offered. Target to schedule a meeting in the week of 19 May
2	popmart.com	Lifestyle	***40-50K***	DHL, SF Express, 4PX, Yanwen	Close business relationship
3	dji.com	Electronics		DHL, UPS, FedEx	To start
4	iherb.com	FMCG		Not disclosed	Close business relationship
5	casetify.com	Electronics		DHL	To start
6	lululemon.com.hk	Fashion		DHL	To start
7	redmagic.gg	Electronics		Not disclosed	To start
8	baseus.com	Electronics		Not disclosed	Close business relationship
9	giordano.com	Fashion		Not disclosed	Close business relationship
10	undone.com	Fashion		Not disclosed	To start
11	shopcider.com	Fashion		Not disclosed	To start
12	mrporter.com	Fashion		DHL	To start
13	suunto.com	Fashion		DHL	To start
14	strawberrynet.com	FMCG		DHL	Close business relationship
15	comfort-works.com	Lifestyle		DHL, FedEx	To start
16	fantechworld.com	Electronics		YunExpress	To start
17	lightinthebox.com	Fashion		Not disclosed	Close business relationship
18	stylevana.com	FMCG		Not disclosed	To start
19	orico.cc	Electronics		4PX	Close business relationship
20	blackview.hk	Electronics		DHL, FedEx	To start
21	sasa.com	FMCG		Not disclosed	Close business relationship

Note:
**Ranking is based on monthly website visits in SEA+TW (excl. ID) markets*
Data Source:
Similarweb, Semrush, expert interview and desk research

[Backup] We are closely following up with SHEIN on potential collaborations

Key Progress of SHEIN Discussions

Pitching Deck Shared on 10 May



Discounted Rate Card (5% off vs SHP Normal MP Sellers) Offered on 14 May

站点	物流方案		SHEIN海外仓运费 *当地货币			Shopee平台普通卖家支付运费 *当地货币		
-	渠道	地区	起重价格		续重价格	起重价格		续重价格
新加坡 (SGD)	(Overseas) (买家自取渠道)	-	≤40g: 0.82		>40g: 0.143 / 10g	≤40g: 0.06		>40g: 0.15 / 10g
	Pick Locker (Overseas) (自提柜渠道)	-	≤40g: 0.82		>40g: 0.143 / 10g	≤40g: 0.06		>40g: 0.15 / 10g
	Express Doorstep Delivery (International) (快递渠道)	-	≤40g: 2.12		>40g: 0.143 / 10g	≤40g: 2.23		>40g: 0.15 / 10g
	Doorstep Delivery (Sea Shipping) (海运渠道)	-	海运渠道需支付运费 + 报关费计费公式 + 目保险计费公式			海运渠道需支付运费 + 报关费计费公式 + 目保险计费公式		
			小于等于20kg包裹的重量运费	2.05	-≥2000g: 0.38 / 1000g	小于等于20kg包裹的重量运费	3	-≥2000g: 0.4 / 1000g
			20kg以上包裹的重量计费	13.5	-≥2000g: 0.67 / 1000g	20kg以上包裹的重量计费	14.21	-≥2000g: 0.7 / 1000g
			报保费公式	0.1%	-≤0.005亿元时: 0.1% / 0.005 亿元时	报保费公式	0.6	-≤0.005亿元时: 0.6 / 0.005 亿元时
马来西亚 (MYR)	Standard Doorstep Delivery (International) (标准渠道)	Zone KV	≤800g: 4.655	+800g: 2.09 per 250g	0.1425 / 10g	≤800g: 4.9	+800g: 2.2 per 250g	0.15 / 10g
		Zone Non-KV	≤800g: 4.655			≤800g: 4.9		
		Zone B	≤800g: 7.6			≤800g: 8		
		Zone C	≤800g: 7.6			≤800g: 8		
	Express Delivery (International) (快递渠道)	Zone KV	≤800g: 4.655	+800g: 2.09 per 250g	0.1425 / 10g	≤800g: 4.9	+800g: 2.2 per 250g	0.15 / 10g
		Zone Non-KV	≤800g: 4.655			≤800g: 4.9		
		Zone B	≤800g: 7.6			≤800g: 8		
		Zone C	≤800g: 7.6			≤800g: 8		
	Self Collection (Shopee Locker) (自提柜渠道)	Zone KV	≤800g: 4.655	+800g: 2.09 per 250g	0.1425 / 10g	≤800g: 4.9		0.15 / 10g
		Zone Non-KV	≤800g: 4.655			≤800g: 4.9		
	Doorstep Delivery (International Sea Shipping) (海运经济渠道)	Zone KV	>10g: 1.57		>10g: 0.143 / 10g	>10g: 1.65		>10g: 0.15 / 10g
		Zone Non-KV						
		Zone B						
		Zone C						
泰国 (THB)	Standard International Delivery (标准渠道)	Zone A	23.05 / 10g		0.95/10g	24 / 10g		1/10g
		Zone B	35.05 / 10g			37 / 10g		
		Zone C	79.05 / 10g			80 / 10g		
	Fast International Delivery (快速渠道)	Zone A	23.05 / 10g		0.95/10g	24 / 10g		1/10g
		Zone B(暂不推荐)	35.05 / 10g			37 / 10g		
菲律宾 (PHP)	Standard International (标准渠道（汽船）	Zone A	≤50g: 99.85		>50g: 4.275 / 10g	≤50g: 93		>50g: 4.5 / 10g
		Zone B	≤50g: 76.85			≤50g: 93		
		Zone C	≤50g: 76.85			≤50g: 93		
		Zone D	≤50g: 76.85			≤50g: 93		
	Express International (快递渠道（汽船）	Zone A	≤50g: 99.85		>50g: 4.275 / 10g	≤50g: 93		>50g: 4.5 / 10g
		Zone B	≤50g: 76.85			≤50g: 93		
		Zone C	≤50g: 76.85			≤50g: 93		
	Economy International (Sea Shipping) (海运经济渠道)	Zone A	≤150g: 49.85	>150g: 64.6	50g / 150g: 4.275/10g >150g: 7.225 /10g	≤150g: 43	>150g: 66	50g / 150g: 4.5/10g >150g: 7.5 /10g
		Zone B						
		Zone C	≤150g: 64.6	>150g: 86.35		≤150g: 68	>150g: 93	
		Zone D						

We are working on product in parallel - est. 2 months are required for feature development

MVP Function List and Est. Development Efforts Required

System	Module	Detailed Function	Estimated Efforts
Open API (For Brand.com / ISV)	Create Account	API Account Creation	***7.3 Man Month (Est. 2 Months)***
	Create Order	Key Info Mapping(Address, Category, etc)	
		Order Validation(Serviceable Area, Category, etc)	
		LM Order Creation	
	Check AWB	Distinguish Open Order on AWB	
	Cancel Order	Status Limitation	
	FM API	Place FM Order	
	Tracking Webhook	Update Tracking	
	Check Shipping Fee	Check Order Shipping Fee	
		Check Order Tax value	
	Special Logic	Special CC Logic	
Logistics Fulfillment	FM	Drop Off mgmt	
		Pick Up Mgmt	
	LH	Receive / Sorting / relabel / Pack, etc. TWS operation	
		LH API interaction	
		CC Data Prepare(Declaration Value, Tax, etc)	
		Buyer PII Masking	
	Abnormal Order	Order Cancellation	
		Return / Refund	
Internal Portal (Admin)	Logistic (SLS Portal)	Channel mgt / AWB Config / Serviceable Area / SMR	
	Finance	Shipping Fee / Rate Table	
		Tax	
	Order Management	Order Details	